

**VICTOR ELEMENTARY SCHOOL DISTRICT
SAN BERNARDINO COUNTY
AUDIT REPORT
For the Fiscal Year Ended
June 30, 2025**

VICTOR ELEMENTARY SCHOOL DISTRICT

For the Fiscal Year Ended June 30, 2025

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VICTOR ELEMENTARY SCHOOL DISTRICT

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Financial Section

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Board of Trustees
Victor Elementary School District
Victorville, California

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Victor Elementary School District, as of and for the fiscal year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of Victor Elementary School District, as of June 30, 2025, and the respective changes in financial position for the fiscal year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS), the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, and the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Changes in Accounting Principle

As discussed in Note 1 to the financial statements, the District has implemented the provisions of GASB Statement No. 101, *Compensated Absences*. Accordingly, prior year liabilities on the Statement of Net Position were restated to adopt this standard. Our opinion is not modified with respect to this matter.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of proportionate share of the net pension liability, schedule of pension contributions, schedule of changes in the District's total OPEB liability and related ratios, schedule of the District's proportionate share of the net OPEB liability-MPP Program, and the notes to the required supplementary information be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The Schedule of Expenditures of Federal Awards as required by the audit requirements of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance), and other supplementary information listed in the table of contents are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information, except for the Schedule of Charter Schools, has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the Schedule of Expenditures of Federal Awards and other supplementary information listed in the table of contents, except for the Schedule of Charter Schools, are fairly stated, in all material respects, in relation to the basic financial statements as a whole. The information in the Statistical Section of the audit report has not been subjected to the auditing procedures applied in the audit of the basic financial statements and accordingly, we do not express an opinion or provide any assurance on it.

The Schedule of Charter Schools has not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the LEA Organization Structure but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated December 9, 2025, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

Nijer + Nijer, PC

Murrieta, California
December 9, 2025

VICTOR ELEMENTARY SCHOOL DISTRICT

Management's Discussion and Analysis (Unaudited)

For the Fiscal Year Ended June 30, 2025

INTRODUCTION

This section of Victor Elementary School District's (VESD) annual financial report presents our discussion and analysis of the District's financial performance during the fiscal year ending June 30, 2025. Please read this analysis in conjunction with the District's audited financial statements.

- The District is currently operating sixteen schools and two charter schools. VESD had an enrollment of 11,864 students in October 2024 with enrollment projected to remain stable for 2025-26.

FINANCIAL HIGHLIGHTS

- Total net position increased 12.0% over the course of the year.
- The District's General Fund available reserves were 8.1% of total outgo.

OVERVIEW OF THE FINANCIAL STATEMENTS

This annual report consists of three parts: management's discussion and analysis (this section), the basic financial statements, and required supplementary information. The basic financial statements include two kinds of statements that present different views of the District:

- Government Wide Financial Statements – these district wide statements provide both short term and long-term information about the District's overall financial status.
- Fund Financial Statements – these focus on individual parts of the District, reporting the District's operations in more detail than the district wide statements.
- *Fiduciary funds* statement provides information about the financial relationships in which the District acts solely as a trustee or custodian for the benefit of others to whom the resources belong.
- Notes to the financial statements provide more detailed data and explain some of the information on the statements. The required supplementary information section provides further explanations and supports the financial statements with a comparison of the District's budget for the year.

District Wide Statements

The district wide statements report information about the District as a whole using accounting methods similar to those used by private sector companies. The Statement of Net Position includes all of the District's assets and liabilities. All of the 2024-25 revenues and expenses are accounted for in the Statement of Activities regardless of when cash is received or paid.

The two district wide statements report the District's net position and how they have changed. Net position is the difference between the District's assets and liabilities and is one way to measure the District's financial health or position. However, to assess the overall health of the District, additional non-financial factors such as changes in the District's condition of school buildings and other facilities need to be considered.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds, not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs. Some funds are required by State law and bond covenants.

VICTOR ELEMENTARY SCHOOL DISTRICT
Management's Discussion and Analysis (Unaudited)
For the Fiscal Year Ended June 30, 2025

OVERVIEW OF THE FINANCIAL STATEMENTS (continued)

VESD has two kinds of funds:

Governmental Funds – All of the District's basic services are included in governmental funds, which generally focus on:

1. How cash and other financial assets can readily be converted to cash flow in and out
2. The balances left at year end that are available for spending

Consequently, the governmental funds statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

Fiduciary Funds – The District is a trustee, or fiduciary, for assets in relation to the CFDs. The District is responsible for ensuring that the assets reported in these funds are used only for their intended purposes and by those to whom the assets belong. We exclude these activities from the district wide financial statements because the District cannot use these assets to finance its operations.

THE SCHOOL DISTRICT AS A WHOLE

One of the frequent questions asked about the District's finances is, "Is the District better off or worse as a result of the year's activities?" The "Statement of Net Position" and the "Statement of Activities" report information about the District as a whole and about its activities in a manner that helps to answer this question.

Statement of Net Position and the Statement of Activities

VESD's combined net position was \$200.5 million as of June 30, 2025, \$21.5 million more than it was the year before.

	Governmental Activities		Variance
	2025	2024*	Increase (Decrease)
Assets			
Current assets	\$ 282,100,793	\$ 293,835,527	\$ (11,734,734)
Capital assets	188,246,003	171,791,196	16,454,807
Total Assets	470,346,796	465,626,723	4,720,073
Total Deferred Outflows of Resources	69,309,241	73,156,166	(3,846,925)
Liabilities			
Current liabilities	32,848,023	43,630,719	(10,782,696)
Long-term liabilities	250,943,315	285,980,482	(35,037,167)
Total Liabilities	283,791,338	329,611,201	(45,819,863)
Total Deferred Inflows of Resources	55,317,251	30,080,718	25,236,533
Net Position			
Net investment in capital assets	143,912,334	125,119,701	18,792,633
Restricted	174,519,787	169,741,679	4,778,108
Unrestricted	(117,884,673)	(115,770,410)	(2,114,263)
Total Net Position	\$ 200,547,448	\$ 179,090,970	\$ 21,456,478

*As restated

VICTOR ELEMENTARY SCHOOL DISTRICT
Management's Discussion and Analysis (Unaudited)
For the Fiscal Year Ended June 30, 2025

THE SCHOOL DISTRICT AS A WHOLE (continued)

Statement of Activities

Revenues for the District's governmental activities were \$275.0 million, a decrease of \$27.0 million from last year, from a reduction in one time grants. Total expenses were \$253.5 million, decrease of \$10.0 million. The Statement of Activities represents the summary of expenses and revenues by governmental functions/programs. The table below presents the costs of major District activities.

	Governmental Activities		Variance
	2025	2024	Increase (Decrease)
Revenues			
Program Revenues:			
Charges for services	\$ 1,220,571	\$ 845,584	\$ 374,987
Operating grants and contributions	73,310,623	99,104,804	(25,794,181)
Capital grants and contributions	-	127	(127)
General Revenues:			
Federal and state aid not restricted	165,721,939	167,618,821	(1,896,882)
Property taxes	24,936,938	23,946,713	990,225
Other general revenues	9,771,600	10,445,957	(674,357)
Total Revenues	<u>274,961,671</u>	<u>301,962,006</u>	<u>(27,000,335)</u>
Expenses			
Instruction-related	168,112,560	179,958,338	(11,845,778)
Pupil services	31,538,078	30,057,542	1,480,536
Administration	11,410,818	13,478,838	(2,068,020)
Plant services	24,604,108	23,764,106	840,002
All other activities	17,839,629	16,200,018	1,639,611
Total Expenses	<u>253,505,193</u>	<u>263,458,842</u>	<u>(9,953,649)</u>
Increase (decrease) in net position	<u>\$ 21,456,478</u>	<u>\$ 38,503,164</u>	<u>\$ (17,046,686)</u>
Total Net Position	<u>\$ 200,547,448</u>	<u>\$ 179,090,970</u>	

VICTOR ELEMENTARY SCHOOL DISTRICT
Management's Discussion and Analysis (Unaudited)
For the Fiscal Year Ended June 30, 2025

FINANCIAL ANALYSIS OF THE DISTRICT'S FUNDS

As the District completed the year, its governmental funds had combined fund balances of \$249.6 million, down \$1.0 million from 2023-24. The General fund decrease is due primarily to decreased federal and state grants. Refer to the table below for information about individual funds.

Fund	Fund Balances				
	July 1, 2024	Revenues	Expenditures	Other Sources and (Uses)	June 30, 2025
General Fund	\$ 126,101,760	\$ 245,864,247	\$ 251,062,985	\$ 1,331,407	\$ 122,234,429
Charter School Fund	8,100,494	7,642,684	7,822,698	-	7,920,480
Cafeteria Fund	9,843,641	13,207,931	11,090,329	-	11,961,243
Deferred Maintenance Fund	2,604,918	152,744	-	-	2,757,662
Special Reserve Fund					
(Postemployment Benefits)	4,997,329	292,751	-	-	5,290,080
Capital Facilities Fund	4,046,549	598,066	26,738	-	4,617,877
Special Reserve Fund (Capital Outlay)	85,785,627	10,643,095	11,357,098	-	85,071,624
Capital Outlay Fund for Blended					
Component Units	2,458,263	851,482	555,321	-	2,754,424
Bond Interest and Redemption Fund	6,657,685	6,291,949	5,920,475	-	7,029,159
	<u>\$ 250,596,266</u>	<u>\$ 285,544,949</u>	<u>\$ 287,835,644</u>	<u>\$ 1,331,407</u>	<u>\$ 249,636,978</u>

The above funds are accounting devices the District uses to keep track of specific sources of funding and spending. The most significant budgeted fund is the General Fund.

In June of each year, a budget is adopted by the Victor Elementary School District's Board of Trustees, effective July 1 through June 30. The budget is based on year-end projections from the previous year's budget, the State of California's projected budget and projected District growth. As the school year progresses, the budget is revised and updated with financial reports made public outlining the revisions. Finally, in August of the following year, the books are closed for the July 1 through June 30 fiscal year and the results are audited, yielding actual final numbers.

VICTOR ELEMENTARY SCHOOL DISTRICT
Management's Discussion and Analysis (Unaudited)
For the Fiscal Year Ended June 30, 2025

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

VESD's investment in net capital assets amounts to \$188.2 million. The table below shows the individualized amounts, net of depreciation.

	Governmental Activities		Variance
	2025	2024	Increase (Decrease)
Land	\$ 29,848,620	\$ 29,720,762	\$ 127,858
Improvement of sites	9,270,395	3,986,770	5,283,625
Buildings	125,655,159	115,129,834	10,525,325
Equipment	8,748,049	9,170,600	(422,551)
Construction in progress	10,689,548	9,925,338	764,210
Leased assets	405,745	380,604	25,141
Subscription assets	3,628,487	3,477,288	151,199
Total	<u>\$ 188,246,003</u>	<u>\$ 171,791,196</u>	<u>\$ 16,454,807</u>

The buildings consist of sixteen schools, two charter schools, the District office, maintenance and warehouse facility, cafeteria facilities, a Family Resource Center with meeting rooms, a transportation facility and a district office.

Long Term Debt

At year-end, the District had \$250.9 million in long-term debt. The chart below describes the various debt vehicles and a comparison with last year.

	Governmental Activities		Variance
	2025	2024*	Increase (Decrease)
General obligation bonds	\$ 66,021,439	\$ 68,786,338	\$ (2,764,899)
Compensated absences	14,756,662	14,409,264	347,398
Other postemployment benefits	40,141,817	59,986,596	(19,844,779)
Net pension liability	126,323,652	138,973,604	(12,649,952)
Equipment leases	434,184	381,341	52,843
Subscription based IT arrangements	3,265,561	3,443,339	(177,778)
Total	<u>\$ 250,943,315</u>	<u>\$ 285,980,482</u>	<u>\$ (35,037,167)</u>

**As restated*

VICTOR ELEMENTARY SCHOOL DISTRICT
Management's Discussion and Analysis (Unaudited)
For the Fiscal Year Ended June 30, 2025

FACTORS BEARING ON THE DISTRICT'S FUTURE

California State Budget

The Budget aims to solve a \$11.8 billion General Fund deficit for 2025-26 through reductions, borrowing and fund shifts. The 2025-26 Enacted Budget relies on reserves and deferrals to meet its Proposition 98 obligations for the fiscal year, including the scheduled \$7.1 billion Budget Stabilization Act (BSA) withdrawal in 2025-26. This will leave a combined reserve balance of \$15.7 billion in 2025-26, including \$11.2 billion in the BSA and an additional \$4.5 billion in the state's discretionary reserve account (the Special Fund for Economic Uncertainties).

TK-12 Education

The Budget includes total funding of \$137.6 billion (\$80.5 billion General Fund and \$57.1 billion other funds) for all TK-12 education programs.

Proposition 98

The Budget revised estimates of General Fund revenues resulting in notable adjustments to the Proposition 98 Guarantee. The revised Guarantee for TK-14 schools is calculated to be \$98.5 billion in 2023-24, \$119.9 billion in 2024-25, and \$114.6 billion in 2025-26. These revised Proposition 98 levels represent an increase of approximately \$3.9 billion over the three-year period relative to the 2024 Budget Act. The Budget appropriates the 2024-25 Guarantee at \$118 billion, instead of the currently calculated level of \$119.9 billion. The difference between the appropriated and the calculated levels is \$1.9 billion, which is referred to as "settle-up." The 2024-25 Guarantee level will not be finalized until that fiscal year is certified—a process that will occur throughout 2026.

The Budget shifts the full TK expansion funding to the TK-12 education side of the Proposition 98 budget, beginning in the 2025-26 fiscal year. This shifts \$232.9 million in ongoing resources from community colleges to TK-12 schools. The purpose of re-benching Proposition 98 for the cost of TK expansion is to ensure that the implementation of universal TK does not create a fiscal burden on existing TK-12 programs.

The Budget includes a LCFF cost-of-living adjustment of 2.3 percent. When combined with population growth adjustments, these baseline adjustments will increase discretionary funds for local educational agencies (LEAs) by \$2.1 billion compared to the 2024 Budget Act. To fully fund the LCFF, the Budget uses \$405.3 million from the Proposition 98 Rainy Day Fund to support LCFF costs in 2025-26.

Budgetary deferrals of \$246.6 million for TK-12 education from 2024-25 will be fully repaid in 2025-26. However, to fully fund the LCFF and maintain the level of 2025-26 principal apportionments, the Budget defers \$1.9 billion in LCFF funding from June 2026 to July 2026.

Funding Results for Education Programs

In the 2025-26 school year, the Budget provides a total of \$2.1 billion ongoing Proposition 98 General Fund (inclusive of all prior years' investments) to support the full implementation of universal TK. The Budget also provides an additional \$1.2 billion ongoing Proposition 98 General Fund to support further lowering the average student-to-adult ratio from 12:1 to 10:1 in every TK classroom.

The Budget provides \$515.1 million ongoing for the full implementation of the Expanded Learning Opportunities Program by increasing the number of elementary schools that offer universal access to students. Additionally, the Budget includes \$10.4 million to increase the minimum grant amount from \$50,000 to \$100,000 per LEA.

The Budget provides \$480 million to support literacy instruction aligned with the ELA/ELD Framework and includes multiple investments intended to support teachers and improve access to the educator pipeline. In addition, the Budget allocates \$1.7 billion one-time Proposition 98 General Fund for the Student Support and Professional Development Discretionary Block Grant, as well as numerous one-time grants for various new and ongoing program support.

VICTOR ELEMENTARY SCHOOL DISTRICT
Management's Discussion and Analysis (Unaudited)
For the Fiscal Year Ended June 30, 2025

FACTORS BEARING ON DISTRICT'S FUTURE (continued)

Federal Implications

Because the State Budget was approved in late June, it does not reflect the impact of the cuts in federal spending included in the federal omnibus tax and spending bill signed in early July. The bill does not make any statutory or direct funding adjustments to TK-12 federal education programs, including Title I and the Individuals with Disabilities Education Act. However, the bill allocates \$100 million to the OMB to conduct reviews across the executive branch aimed at identifying "budget and accounting efficiencies."

All of these factors were considered in preparing the Victor Elementary School District budget for the 2025-26 fiscal year.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, customers, investors, and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact the District's Business Office at 12219 2nd Street, Victorville, California 92395.

VICTOR ELEMENTARY SCHOOL DISTRICT
Statement of Net Position
June 30, 2025

	Total Governmental Activities
ASSETS	
Deposits and investments	\$ 266,397,282
Accounts receivable	14,886,154
Inventories	421,383
Prepaid expenses	395,974
Capital assets:	
Non-depreciable assets	40,538,168
Depreciable assets	264,229,855
Less accumulated depreciation	(120,556,252)
Leases assets	884,723
Less accumulated amortization	(478,978)
Subscription assets	6,406,910
Less accumulated amortization	(2,778,423)
Total Assets	<u>470,346,796</u>
DEFERRED OUTFLOWS OF RESOURCES	
Deferred outflows related to pensions	58,278,849
Deferred outflows related to OPEB	10,656,162
Deferred amounts on refunding	<u>374,230</u>
Total Deferred Outflows of Resources	<u>69,309,241</u>
LIABILITIES	
Accounts payable	30,688,526
Accrued interest payable	384,208
Unearned revenue	1,775,289
Noncurrent liabilities:	
Due or payable within one year	10,497,971
Due in more than one year:	
Other than OPEB and pensions	73,979,875
Total OPEB liability	40,141,817
Net pension liability	<u>126,323,652</u>
Total Liabilities	<u>283,791,338</u>
DEFERRED INFLOWS OF RESOURCES	
Deferred inflows related to pensions	21,163,796
Deferred inflows related to OPEB	<u>34,153,455</u>
Total Deferred Inflows of Resources	<u>55,317,251</u>
NET POSITION	
Net investment in capital assets	143,912,334
Restricted for:	
Capital projects	89,689,501
Debt service	7,029,159
Education and nutrition programs	77,801,127
Unrestricted	<u>(117,884,673)</u>
Total Net Position	<u>\$ 200,547,448</u>

VICTOR ELEMENTARY SCHOOL DISTRICT

Statement of Activities

For the Fiscal Year Ended June 30, 2025

Functions/Programs	Program Revenues			Net (Expense) Revenue and Changes in Net Position
	Expenses	Charges for Services	Operating Grants and Contributions	
Governmental Activities				
Instructional Services:				
Instruction	\$ 146,616,164	\$ 3,505	\$ 30,642,055	\$ (115,970,604)
Instruction-Related Services:				
Supervision of instruction	3,941,065	1,064	2,936,820	(1,003,181)
Instructional library, media and technology	2,235,264	-	1,561	(2,233,703)
School site administration	15,320,067	-	1,003,710	(14,316,357)
Pupil Support Services:				
Home-to-school transportation	7,686,033	-	-	(7,686,033)
Food services	11,033,900	144,479	12,892,614	2,003,193
All other pupil services	12,818,145	23,648	1,896,450	(10,898,047)
General Administration Services:				
Data processing services	1,937,668	-	-	(1,937,668)
Other general administration	9,473,150	3,323	950,377	(8,519,450)
Plant services	24,604,108	91	11,767,238	(12,836,779)
Community services	919,667	-	-	(919,667)
Enterprise activities	-	1,044,461	-	1,044,461
Interest on long-term debt	4,281,871	-	-	(4,281,871)
Other outgo	12,638,091	-	11,219,798	(1,418,293)
Total Governmental Activities	<u>\$ 253,505,193</u>	<u>\$ 1,220,571</u>	<u>\$ 73,310,623</u>	<u>(178,973,999)</u>
General Revenues:				
Property taxes				24,936,938
Federal and state aid not restricted to specific purpose				165,721,939
Interest and investment earnings				7,618,759
Interagency revenues				30,100
Miscellaneous				<u>2,122,741</u>
Total general revenues				<u>200,430,477</u>
Change in net position				<u>21,456,478</u>
Net position - July 1, 2024, as originally stated				192,698,301
Adjustments for restatement (Note 13)				<u>(13,607,331)</u>
Net position - July 1, 2024, as restated				<u>179,090,970</u>
Net position - June 30, 2025				<u>\$ 200,547,448</u>

VICTOR ELEMENTARY SCHOOL DISTRICT*Balance Sheet – Governmental Funds**June 30, 2025*

	General Fund	Special Reserve for Capital Outlay Projects Fund	Non-Major Governmental Funds	Total Governmental Funds
ASSETS				
Deposits and investments	\$ 145,513,118	\$ 85,107,652	\$ 35,776,512	\$ 266,397,282
Accounts receivable	11,661,218	955,071	2,269,865	14,886,154
Due from other funds	938,196	-	902,455	1,840,651
Inventories	194,178	-	227,205	421,383
Prepaid expenditures	395,974	-	-	395,974
Total Assets	<u>\$ 158,702,684</u>	<u>\$ 86,062,723</u>	<u>\$ 39,176,037</u>	<u>\$ 283,941,444</u>
LIABILITIES AND FUND BALANCES				
Liabilities				
Accounts payable	\$ 28,512,553	\$ 981,539	\$ 1,194,434	\$ 30,688,526
Due to other funds	890,333	9,560	940,758	1,840,651
Unearned revenue	1,775,289	-	-	1,775,289
Total Liabilities	<u>31,178,175</u>	<u>991,099</u>	<u>2,135,192</u>	<u>34,304,466</u>
Fund Balances				
Nonspendable	640,152	-	237,205	877,357
Restricted	64,496,352	85,071,624	27,469,030	177,037,006
Committed	25,200,233	-	2,757,662	27,957,895
Assigned	16,761,807	-	6,576,948	23,338,755
Unassigned	20,425,965	-	-	20,425,965
Total Fund Balances	<u>127,524,509</u>	<u>85,071,624</u>	<u>37,040,845</u>	<u>249,636,978</u>
Total Liabilities and Fund Balances	<u>\$ 158,702,684</u>	<u>\$ 86,062,723</u>	<u>\$ 39,176,037</u>	<u>\$ 283,941,444</u>

VICTOR ELEMENTARY SCHOOL DISTRICT

Reconciliation of the Governmental Funds Balance Sheet to the Statement of Net Position June 30, 2025

Total Fund Balances - Governmental Funds

\$ 249,636,978

In governmental funds, only current assets are reported. In the statement of net position, all assets are reported, including capital assets, leased assets, subscription assets, and accumulated depreciation and amortization.

Capital assets relating to governmental activities, at historical cost	304,768,023	
Accumulated depreciation	(120,556,252)	
Leased assets	884,723	
Subscription assets	6,406,910	
Accumulated amortization	<u>(3,257,401)</u>	
Net:		188,246,003

In governmental funds, interest on long-term debt is not recognized until the period in which it matures and is paid. In the government-wide statement of activities, it is recognized in the period that it is incurred. The additional liability for unmatured interest owing at the end of the period was:

(384,208)

Deferred amounts on refunding represent amounts paid to an escrow agent in excess of the outstanding debt at the time of the payment for refunded bonds which have been defeased. In the government-wide statements it is recognized as a deferred outflow of resources. The remaining deferred amounts on refunding at the end of the period were:

374,230

In governmental funds, only current liabilities are reported. In the statement of net position, all liabilities, including long-term liabilities, are reported. Long-term liabilities relating to governmental activities consist of:

General obligation bonds	66,021,439	
Compensated absences	14,756,662	
Equipment leases	434,184	
Subscription based IT arrangements	3,265,561	
Other postemployment benefits	40,141,817	
Net pension liability	<u>126,323,652</u>	
Total		(250,943,315)

In governmental funds, deferred outflows and inflows of resources relating to OPEB are not reported because they are applicable to future periods. In the statement of net position, deferred outflows and inflows of resources relating to OPEB are reported. Deferred outflows and inflows relating to OPEB for the period were:

Deferred outflows of resources relating to OPEB	10,656,162	
Deferred inflows of resources relating to OPEB	<u>(34,153,455)</u>	
Total		(23,497,293)

In governmental funds, deferred outflows and inflows of resources relating to pensions are not reported because they are applicable to future periods. In the statement of net position, deferred outflows and inflows of resources relating to pensions are reported. Deferred outflows and inflows relating to pensions for the period were:

Deferred outflows of resources relating to pensions	58,278,849	
Deferred inflows of resources relating to pensions	<u>(21,163,796)</u>	
Total		37,115,053

Total Net Position - Governmental Activities

\$ 200,547,448

VICTOR ELEMENTARY SCHOOL DISTRICT

Statement of Revenues, Expenditures, and Changes in Fund Balances – Governmental Funds For the Fiscal Year Ended June 30, 2025

	General Fund	Special Reserve for Capital Outlay Projects Fund	Non-Major Governmental Funds	Total Governmental Funds
REVENUES				
LCFF sources	\$ 169,804,097	\$ -	\$ 5,733,216	\$ 175,537,313
Federal sources	9,555,445	-	10,287,263	19,842,708
Other state sources	52,710,409	-	3,884,648	56,595,057
Other local sources	14,087,047	10,643,095	8,839,729	33,569,871
Total Revenues	246,156,998	10,643,095	28,744,856	285,544,949
EXPENDITURES				
Current:				
Instructional Services:				
Instruction	148,678,124	-	5,409,093	154,087,217
Instruction-Related Services:				
Supervision of instruction	4,326,133	-	3,840	4,329,973
Instructional library, media and technology	2,068,642	-	54,939	2,123,581
School site administration	15,141,588	-	1,072,998	16,214,586
Pupil Support Services:				
Home-to-school transportation	6,116,823	-	-	6,116,823
Food services	604,252	-	10,547,428	11,151,680
All other pupil services	13,236,764	-	463,564	13,700,328
Community services	904,152	-	-	904,152
General Administration Services:				
Data processing services	1,919,722	-	-	1,919,722
Other general administration	9,169,300	-	-	9,169,300
Plant services	24,941,454	-	881,694	25,823,148
Transfers of indirect costs	(275,995)	-	275,995	-
Capital outlay	9,034,757	11,357,098	748,980	21,140,835
Intergovernmental transfers	13,624,325	-	36,555	13,660,880
Debt service:				
Principal	1,456,342	-	1,766,131	3,222,473
Interest	116,602	-	4,154,344	4,270,946
Total Expenditures	251,062,985	11,357,098	25,415,561	287,835,644
Excess (Deficiency) of Revenues Over (Under) Expenditures	(4,905,987)	(714,003)	3,329,295	(2,290,695)
OTHER FINANCING SOURCES (USES)				
Proceeds from leases	248,957	-	-	248,957
Proceeds from subscription based IT arrangements	1,082,450	-	-	1,082,450
Total Other Financing Sources and Uses	1,331,407	-	-	1,331,407
Net Change in Fund Balances	(3,574,580)	(714,003)	3,329,295	(959,288)
Fund Balances, July 1, 2024	131,099,089	85,785,627	33,711,550	250,596,266
Fund Balances, June 30, 2025	\$ 127,524,509	\$ 85,071,624	\$ 37,040,845	\$ 249,636,978

VICTOR ELEMENTARY SCHOOL DISTRICT

Reconciliation of the Governmental Funds Statement of Revenues, Expenditures, and Changes in Fund Balances to the Statement of Activities For the Fiscal Year Ended June 30, 2025

Total Net Change in Fund Balances - Governmental Funds	\$ (959,288)
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Amounts reported for governmental *activities* in the statement of activities are different because:

Capital outlays are reported in governmental funds as expenditures. However, in the statement of activities, the cost of those assets is allocated over their estimated useful lives as depreciation or amortization expense. The difference between capital outlay expenditures and depreciation and amortization expense for the period is:

Expenditures for capital outlay	25,345,634	
Depreciation expense	(7,211,893)	
Amortization expense	(1,678,934)	
Net expense adjustment:		16,454,807

In governmental funds, repayments of long-term debt are reported as expenditures. In the government-wide statements, repayments of long term debt are reported as a reduction of liabilities. Expenditures for repayment of the principal portion of long term debt were:	3,222,473
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In governmental funds, proceeds from debt are recognized as other financing sources. In the government-wide statements, proceeds from debt are reported as an increase to liabilities. Amounts recognized in governmental funds as proceeds from debt, including premiums were:	(1,331,407)
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The amounts paid to the refunded bond escrow agent in excess of the refunded bond at the time of payment are recorded as deferred amounts on the refunding and are amortized over the life of the liability. Deferred amounts on refunding exceeded the amount amortized during the year by:	(50,756)
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In governmental funds, accreted interest on capital appreciation bonds is not recorded as an expenditure from current resources. In the government-wide statement of activities, however, this is recorded as interest expense for the period. The difference between accreted interest earned and paid for the period is:	797,413
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In government funds, OPEB costs are recognized when employer contributions are made. In the statement of activities, OPEB costs are recognized on the accrual basis. This year, the difference between accrual-basis OPEB costs and actual employer contributions was:	(1,178,588)
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In governmental funds, compensated absences are measured by the amount paid during the period. In the statement of activities, compensated absences are measured by the amounts earned. The difference between absences paid and compensated absences earned was:	(347,398)
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In governmental funds, interest on long-term debt is recognized in the period that it becomes due. In the government-wide statement of activities, it is recognized in the period that it is incurred. Unmatured interest owing at the end of the period, less matured interest paid during the period but owing from the prior period was:	7,250
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In governmental funds, if debt is issued at a premium or at a discount, the premium or discount is recognized as an Other Financing Use in the period it is incurred. In the government-wide statements, the premium or discount is amortized as interest over the life of the debt. Amortization of premium or discount for the period is:	201,355
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In government funds, pension costs are recognized when employer contributions are made. In the statement of activities, pension costs are recognized on the accrual basis. This year, the difference between accrual-basis pension costs and actual employer contributions was:	4,640,617
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Change in Net Position of Governmental Activities	\$ 21,456,478
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VICTOR ELEMENTARY SCHOOL DISTRICT*Statement of Fiduciary Net Position**June 30, 2025*

	CFD Debt Service Fund
ASSETS	
Deposits and investments	\$ 2,830,908
Accounts receivable	8,926
Total Assets	2,839,834
NET POSITION	
Restricted for CFD debt service	\$ 2,839,834

VICTOR ELEMENTARY SCHOOL DISTRICT*Statement of Changes in Fiduciary Net Position**For the Fiscal Year Ended June 30, 2025*

	CFD Debt Service Fund
ADDITIONS	
Local property taxes	\$ 2,570,635
Interest	97,077
All other transfers in	1,080
Total Additions	<u>2,668,792</u>
DEDUCTIONS	
Debt service - interest	1,022,789
Debt service - principal	950,400
All other transfers out	720,953
Total Deductions	<u>2,694,142</u>
Change in fiduciary net position	(25,350)
Net position - July 1, 2024	<u>2,865,184</u>
Net position - June 30, 2025	<u><u>\$ 2,839,834</u></u>

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Victor Elementary School District (the "District") accounts for its financial transactions in accordance with the policies and procedures of the California Department of Education's *California School Accounting Manual*. The accounting policies of the District conform to accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board. The following is a summary of the more significant policies:

A. Reporting Entity

A reporting entity is comprised of the primary government, component units, and other organizations that are included to ensure the financial statements are not misleading. The primary government of the District consists of all funds, departments, and agencies that are not legally separate from the District. For the District, this includes general operations, food service, and student-related activities of the District.

Component units are legally separate organizations for which the District is financially accountable. Component units may also include organizations that are fiscally dependent on the District, in that the District approves their budget, the issuance of their debt or the levying of their taxes. In addition, component units are other legally separate organizations for which the District is not financially accountable but the nature and significance of the organization's relationship with the District is such that exclusion would cause the District's financial statements to be misleading or incomplete.

For financial reporting purposes, the component units have a financial and operational relationship which meets the reporting entity definition criteria of the Governmental Accounting Standards Board (GASB) Statement No. 61, *The Financial Reporting Entity: Omnibus – An Amendment of GASB Statements No. 14 and No. 34*, and thus are included in the financial statements using the blended presentation method as if they were part of the District's operations because the Board of Trustees of the component units is essentially the same as the Board of Trustees of the District and because their purpose is to finance the construction of facilities to be used for the direct benefit of the District.

The Victor Elementary School District Community Facilities Districts (CFDs) financial activity is presented in the financial statements as the Capital Projects Fund for Blended Component Units and in the Fiduciary Funds Statement as the Debt Service Fund for Special Tax Bonds. Special Tax Bonds issued by the CFDs are not included in the long-term obligations of the *Statement of Net Position* as they are not obligations of the District. Individually prepared financial statements are not prepared for each of the CFDs.

B. Basis of Presentation, Basis of Accounting

1. Basis of Presentation

District-Wide Financial Statements

The Statement of Net Position and the statement of activities display information about the primary government (the District) and its component units. These statements include the financial activities of the overall government, except for fiduciary activities. Eliminations have been made to minimize the double-counting of internal activities. Governmental activities generally are financed through taxes, intergovernmental revenues, and other nonexchange transactions.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

B. Basis of Presentation, Basis of Accounting (continued)

1. Basis of Presentation (continued)

District-Wide Financial Statements

The statement of activities presents a comparison between direct expenses and program revenues for each function of the District's governmental activities. Direct expenses are those that are specifically associated with a program or function and, therefore, are clearly identifiable to a particular function. Program revenues include (a) fees, fines, and charges paid by the recipients of goods or services offered by the programs and (b) grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues, including all taxes, are presented as general revenues.

Fund Financial Statements

The fund financial statements provide information about the District's funds, including its fiduciary funds and blended component units. Separate statements for each fund category - *governmental* and *fiduciary* - are presented. The emphasis of fund financial statements is on major governmental funds; each displayed in a separate column. All remaining governmental funds are aggregated and reported as nonmajor funds.

Major Governmental Funds

The District maintains the following major governmental funds:

General Fund: This is the chief operating fund for the District. It is used to account for the ordinary operations of the District. All transactions except those accounted for in another fund are accounted for in this fund. The District also maintains a Special Reserve Fund for Postemployment Benefits. The Special Reserve Fund for Postemployment Benefits is not substantially composed of restricted or committed revenue sources. Because this fund does not meet the definition of special revenue funds under GASB 54, the activity in the fund is being reported within the General Fund.

Special Reserve Fund for Capital Outlay Projects: This fund exists primarily to provide for the accumulation of general fund moneys for capital outlay purposes (*Education Code* Section 42840). This fund may also be used to account for any other revenues specifically for capital projects that are not restricted to the Building Fund, Capital Facilities Fund, State School Building Lease-Purchase Fund, County School Facilities Fund, or Capital Project Fund for Blended Component Units.

Non-Major Governmental Funds

The District maintains the following non-major governmental funds:

Special Revenue Funds: Special revenue funds are established to account for the proceeds from specific revenue sources (other than trusts, major capital projects, or debt service) that are restricted or committed to the financing of particular activities, that compose a substantial portion of the inflows of the fund, and that are reasonably expected to continue. Additional resources that are restricted, committed, or assigned to the purpose of the fund may also be reported in the fund.

Charter School Fund: This fund is used to account for the operations of the Mountain View Montessori School and Sixth Street Preparatory Charter Schools.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

B. Basis of Presentation, Basis of Accounting (continued)

1. Basis of Presentation (continued)

Non-Major Governmental Funds (continued)

Special Revenue Funds: (continued)

Cafeteria Fund: This fund is used to account separately for federal, state, and local resources to operate the food service program (*Education Code* Sections 38090 and 38093).

Deferred Maintenance Fund: This fund is used to account separately for revenues that are restricted or committed for deferred maintenance purposes (*Education Code* Section 17582).

Capital Projects Funds: Capital projects funds are established to account for financial resources to be used for the acquisition or construction of major capital facilities and other capital assets (other than those financed by proprietary funds and trust funds).

Capital Facilities Fund: This fund is used to primarily account separately for moneys received from fees levied on development projects as a condition of approval (*Education Code* sections 17620-17626 and *Government Code* Section 65995 et seq.).

Capital Project Fund for Blended Component Units: This fund is used to account for capital projects financed by Mello-Roos Community Facilities Districts and similar entities that are considered blended component units of the District under generally accepted accounting principles (GAAP).

Debt Service Funds: Debt service funds are established to account for the accumulation of resources for and the payment of principal and interest on general long-term debt.

Bond Interest and Redemption Fund: This fund is used for the repayment of bonds issued for the District (*Education Code* Sections 15125-15262).

Fiduciary Funds

Fiduciary funds are used to account for assets held in a trustee or custodial capacity for others that cannot be used to support the District's own programs. The key distinction between trust and custodial funds is that trust funds are subject to a trust agreement that affects the degree of management involvement and the length of time that the resources are held. The District maintains the following fiduciary fund:

CFD Debt Service Fund: Debt service funds are established to account for the accumulation of resources for and the payment of principal and interest on special tax bonds.

2. Measurement Focus, Basis of Accounting

The accounting and financial reporting treatment is determined by the applicable measurement focus and basis of accounting. Measurement focus indicates the type of resources being measured such as current financial resources or economic resources. The basis of accounting indicates the timing of transactions or events for recognition in the financial statements.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

B. Basis of Presentation, Basis of Accounting (continued)

2. Measurement Focus, Basis of Accounting (continued)

The District-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of the related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenues as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Under this method, revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities for the current period. For this purpose, the District considers revenues to be available if they are collected within 60 days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

As a general rule the effect of interfund activity has been eliminated from the District-wide financial statements. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

3. Revenues - Exchange and Non-Exchange Transactions

Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded on the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available. Available means that the resources will be collected within the current fiscal year. Generally, available is defined as collectible within 60 days. However, to achieve comparability of reporting among California districts and so as not to distort normal revenue patterns, with specific respect to reimbursement grants and corrections to state-aid apportionments, the California Department of Education has defined available for districts as collectible within one year. The following revenue sources are considered to be both measurable and available at fiscal year-end: State apportionments, interest, certain grants, and other local sources.

Non-exchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, certain grants, entitlements, and donations. Revenue from property taxes is recognized in the fiscal year in which the taxes are received. Revenue from certain grants, entitlements, and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include time and purpose requirements. On a modified accrual basis, revenue from non-exchange transactions must also be available before it can be recognized.

C. Encumbrances

Encumbrance accounting is used in all budgeted funds to reserve portions of applicable appropriations for which commitments have been made. Encumbrances are recorded for purchase orders, contracts, and other commitments when they are written. Encumbrances are liquidated when the commitments are paid. All encumbrances are liquidated as of June 30.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

D. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, and Net Position

1. Cash and Cash Equivalents

The District considers cash and cash equivalents to be cash on hand and demand deposits. In addition, because the Treasury Pool is sufficiently liquid to permit withdrawal of cash at any time without prior notice or penalty, equity in the pool is also deemed to be a cash equivalent.

2. Inventories and Prepaid Items

Inventories are valued at cost using the first-in/first-out (FIFO) method. The costs of governmental fund-type inventories are recorded as expenditures when consumed rather than when purchased.

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items.

3. Capital Assets

Purchased or constructed capital assets are reported at cost or estimated historical cost. Donated capital assets, donated works of art and similar items, and capital assets received in a service concession arrangement are reported at acquisition value rather than fair value. The cost of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized.

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

Description	Estimated Lives
Buildings and Improvements	25-50 years
Furniture and Equipment	15-20 years
Vehicles	8 years

4. Unearned Revenue

Unearned revenue arises when potential revenue does not meet both the "measurable" and "available" criteria for recognition in the current period or when resources are received by the District prior to the incurrence of qualifying expenditures. In subsequent periods, when both revenue recognition criteria are met, or when the District has a legal claim to the resources, the liability for unearned revenue is removed from the combined balance sheet and revenue is recognized.

Certain grants received that have not met eligibility requirements are recorded as unearned revenue. On the governmental fund financial statements, receivables that will not be collected within the available period are also recorded as unearned revenue.

5. Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, *deferred outflows of resources*, represents a consumption of net position that applies to a future period and so will not be recognized as an outflow of resources (expense/expenditure) until then.

In addition to liabilities, the Statement of Net Position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *deferred inflows of resources*, represents an acquisition of net position that applies to a future period and will not be recognized as an inflow of resources (revenue) until that time.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

D. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, and Net Position (continued)

6. Compensated Absences

The District has implemented GASB Statement No. 101, *Compensated Absences*. A liability is reported for unused vacation leave. Although sick leave is not paid out upon separation, a liability is recorded for the portion of sick leave that is more likely than not to be used for paid time off. The liability is measured using current pay rates and includes applicable salary-related costs.

7. Leases

Lessee:

The District recognizes a lease liability and an intangible right-to-use leased asset in the government-wide financial statements. At the commencement of the lease term, the District measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made. The leased asset is initially measured as the initial amount of the lease liability, plus certain initial direct costs. Subsequently, the leased asset is amortized on a straight-line basis over the lease term or useful life of the underlying assets.

Lessor:

The District recognizes a lease receivable and a deferred inflow of resources in the government-wide and governmental fund financial statements. At the commencement of a lease, the District initially measures the lease receivable at the present value of payments expected to be received during the lease term. Subsequently, the lease receivable is reduced by the principal portion of lease payments received. The deferred inflow of resources is initially measured as the initial amount of the lease receivable, adjusted for lease payments received at or before the lease commencement date. Subsequently, the deferred inflow of resources is recognized as revenue over the life of the lease term.

8. Subscription-Based Information Technology Arrangements

The District recognizes a subscription liability and an intangible right-to-use subscriptions IT asset (subscription IT asset) in the government-wide financial statements. At the commencement of the lease liability, the District measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the subscription liability is reduced by the principal portion of subscription payments made. The subscription IT asset is initially measured as the initial amount of the subscription liability, plus certain initial direct costs. Subsequently, the subscription IT asset is amortized on a straight-line basis over the subscription term or useful life of the underlying asset. The amortization period varies from 2 to 4 years.

9. Postemployment Benefits Other Than Pensions (OPEB)

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the District Plan and CalSTRS Medicare Premium Payment (MPP) Program and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by the Plans. For this purpose, the Plans recognize benefit payments when due and payable in accordance with the benefit terms. Investments are reported at fair value, except for money market investments and participating interest-earning investment contracts that have a maturity at the time of purchase of one year or less, which are reported at cost.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

D. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, and Net Position (continued)

10. Pensions

For purposes of measuring the net pension liability and deferred outflows/inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the District's California State Teachers Retirement System (CalSTRS) and California Public Employees' Retirement System (CalPERS) plans and addition to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by CalSTRS and CalPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

11. Fund Balances

The fund balance for governmental funds is reported in classifications based on the extent to which the government is bound to honor constraints on the specific purposes for which amounts in those funds can be spent.

Nonspendable: Fund balance is reported as nonspendable when the resources cannot be spent because they are either in a nonspendable form or legally or contractually required to be maintained intact. Resources in nonspendable form include inventories and prepaid assets.

Restricted: Fund balance is reported as restricted when the constraints placed on the use of resources are either externally imposed by creditors, grantors, contributors, or laws or regulations of other governments; or imposed by law through constitutional provision or by enabling legislation.

Committed: The District's highest decision-making level of authority rests with the District's Board. Fund balance is reported as committed when the Board passes a resolution that places specified constraints on how resources may be used. The Board can modify or rescind a commitment of resources through passage of a new resolution.

Assigned: Resources that are constrained by the District's intent to use them for a specific purpose, but are neither restricted nor committed, are reported as assigned fund balance. Intent may be expressed by either the Board, committees (such as budget or finance), or officials to which the Board has delegated authority.

Unassigned: Unassigned fund balance represents fund balance that has not been restricted, committed, or assigned and may be utilized by the District for any purpose. When expenditures are incurred, and both restricted and unrestricted resources are available, it is the District's policy to use restricted resources first, then unrestricted resources in the order of committed, assigned, and then unassigned, as they are needed.

12. Net Position

Net position is classified into three components: net investment in capital assets; restricted; and unrestricted. These classifications are defined as follows:

- **Net investment in capital assets** - This component of net position consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by the outstanding balances of any bonds, mortgages, notes, or other borrowings that are attributable to the acquisition, construction, or improvement of those assets.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

D. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, and Net Position (continued)

12. Net Position (continued)

- **Net investment in capital assets (continued)** - If there are significant unspent related debt proceeds at year-end, the portion of the debt attributable to the unspent proceeds are not included in the calculation of net investment in capital assets. Rather, that portion of the debt is included in the same net position component as the unspent proceeds.
- **Restricted** - This component of net position consists of constraints placed on net position use through external constraints imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or constraints imposed by law through constitutional provisions or enabling legislation.
- **Unrestricted net position** - This component of net position consists of net position that does not meet the definition of "net investment in capital assets" or "restricted".

When both restricted and unrestricted resources are available for use, it is the District's policy to use restricted resources first, then unrestricted resources as they are needed.

E. Minimum Fund Balance Policy

The District has not adopted a formal minimum fund balance policy, as recommended by GASB Statement No. 54; however, the District follows the guidelines recommended in the Criteria and Standards of Assembly Bill (AB) 1200, which recommend a Reserve for Economic Uncertainties consisting of unassigned amounts equal to no less than three percent of total General Fund expenditures and other financing uses.

When an expenditure is incurred for purposes for which both restricted and unrestricted fund balance is available, the District considers restricted funds to have been spent first. When an expenditure is incurred for which committed, assigned, or unassigned fund balances are available, the District considers amounts to have been spent first out of committed funds, then assigned funds, and finally unassigned funds, as needed, unless the governing board has provided otherwise in its commitment or assignment actions.

F. Property Tax Calendar

The County is responsible for the assessment, collection, and apportionment of property taxes for all jurisdictions including the schools and special districts within the County. The Board of Supervisors levies property taxes as of September 1 on property values assessed on July 1. Secured property tax payments are due in two equal installments. The first is generally due November 1 and is delinquent with penalties on December 10, and the second is generally due on February 1 and is delinquent with penalties on April 10. Secured property taxes become a lien on the property on January 1.

G. Use of Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenditures during the reported period. Actual results could differ from those estimates.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

H. Change in Accounting Principle

During the year ended June 30, 2025, the District implemented Governmental Accounting Standards Board (GASB) Statement No. 101, *Compensated Absences*. This standard requires the recognition of accrued compensated absences as a liability in the financial statements. The implementation resulted in a cumulative effect adjustment to beginning net position to reflect the recognition of accumulated leave liabilities previously unrecorded. The impact on the District's beginning net position was a decrease of \$13,607,331.

NOTE 2 – DEPOSITS AND INVESTMENTS

Deposits and investments as of June 30, 2025, are classified in the accompanying financial statements as follows:

Governmental funds/activities	\$ 266,397,282
Fiduciary funds	<u>2,830,908</u>
Total Deposits and Investments	<u>\$ 269,228,190</u>

Deposits and investments as of June 30, 2025, consist of the following:

Cash on hand and in banks	\$ 5,000
Cash in revolving fund	60,000
Investments	<u>269,163,190</u>
Total Deposits and Investments	<u>\$ 269,228,190</u>

Pooled Funds

In accordance with Education Code Section 41001, the District maintains substantially all of its cash in the interest-bearing San Bernardino County Treasurer's Pooled Investment Fund. The District is considered to be an involuntary participant in an external investment pool. The fair value of the District's investment in the pool is reported in the financial statements at amounts based upon the District's pro-rata share of the fair value provided by the San Bernardino County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the San Bernardino County Treasurer, which is recorded on the amortized basis.

Custodial Credit Risk – Deposits

Custodial credit risk is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District does not have a policy for custodial credit risk for deposits. Cash balances held in banks are insured up to \$250,000 by the Federal Depository Insurance Corporation (FDIC) and are collateralized by the respective financial institutions. In addition, the *California Government Code* requires that a financial institution secure deposits made by State or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under State law (unless so waived by the governmental unit).

The market value of the pledged securities in the collateral pool must equal at least 110 percent of the total amount deposited by the public agencies. California law also allows financial institutions to secure public deposits by pledging first trust deed mortgage notes having a value of 150 percent of the secured public deposits and letters of credit issued by the Federal Home Loan Bank of San Francisco having a value of 105 percent of the secured deposits.

As of June 30, 2025, none of the District's bank balance was exposed to custodial credit risk because it was insured by the FDIC.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 2 – DEPOSITS AND INVESTMENTS (continued)

Investments - Interest Rate Risk

The District's investment policy limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. The District's investment policy limits investment purchases to investments with a term not to exceed ten years. Investments purchased with maturity terms greater than ten years require approval by the Board of Education. Investments purchased with maturities greater than one year require written approval by the Superintendent prior to commitment. Maturities of investments held at June 30, 2025, consist of the following:

	Reported Amount	Less Than One Year	Through Five Years	Fair Value Measurement	Rating
Investments:					
County Pool	\$ 266,140,458	\$ 266,140,458	\$ -	Uncategorized	N/A
Investco Short-Term Treasury Portfolio	3,022,732	3,022,732	-	Level 1	AA-
Total Investments	<u>\$ 269,163,190</u>	<u>\$ 269,163,190</u>	<u>\$ -</u>		

Investments - Credit Risk

The District's investment policy limits investment choices to obligations of local, state and federal agencies, commercial paper, certificates of deposit, repurchase agreements, corporate notes, banker acceptances, and other securities allowed by State Government Code Section 53600. At June 30, 2025, all investments represented governmental securities which were issued, registered and held by the District's agent in the District's name.

Investments - Concentration of Credit Risk

The District does not place limits on the amount it may invest in any one issuer. At June 30, 2025, the District had the following investments that represent more than five percent of the District's net investments outside of the County treasury.

Investco Short-Term Treasury Portfolio	100%
--	------

Fair Value Measurements

The District categorizes the fair value measurements of its investments based on the hierarchy established by generally accepted accounting principles. The fair value hierarchy, which has three levels, is based on the valuation inputs used to measure an asset's fair value. The following provides a summary of the hierarchy used to measure fair value:

Level 1 – Quoted prices in active markets for identical assets that the District has the ability to access at the measurement date. Level 1 assets may include debt and equity securities that are traded in an active exchange market and that are highly liquid and are actively traded in over-the-counter markets.

Level 2 – Observable inputs other than Level 1 prices such as quoted prices for similar assets in active markets, quoted prices for identical or similar assets in markets that are not active, or other inputs that are observable, such as interest rates and curves observable at commonly quoted intervals, implied volatilities, and credit spreads. For financial reporting purposes, if an asset has a specified term, a Level 2 input is required to be observable for substantially the full term of the asset.

Level 3 – Unobservable inputs should be developed using the best information available under the circumstances, which might include the District's own data. The District should adjust that date if reasonably available information indicates that other market participants would use different data or certain circumstances specific to the District are not available to other market participants.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 2 – DEPOSITS AND INVESTMENTS (continued)

Fair Value Measurements (continued)

Uncategorized – Investments in the San Bernardino County Treasury Investment Pool are not measured using the input levels above because the District's transactions are based on a stable net asset value per share. All contributions and redemptions are transacted at \$1.00 net asset value per share.

All assets have been valued using a market approach, with quoted market prices.

NOTE 3 – ACCOUNTS RECEIVABLE

Accounts receivable as of June 30, 2025, consisted of the following:

	Governmental Funds			
	General Fund	Special Reserve Fund for Capital Outlay	Non-Major Governmental Funds	Totals
Federal Government:				
Categorical aid programs	\$ 2,674,452	\$ -	\$ 1,424,484	\$ 4,098,936
State Government:				
Lottery	851,962	-	-	851,962
Categorical aid programs	4,463,764	-	527,730	4,991,494
Local:				
Interest	1,586,419	955,071	289,113	2,830,603
Special education	1,797,729	-	-	1,797,729
Other local resources	286,892	-	28,538	315,430
Total	<u>\$ 11,661,218</u>	<u>\$ 955,071</u>	<u>\$ 2,269,865</u>	<u>\$ 14,886,154</u>

NOTE 4 – INTERFUND TRANSACTIONS

Balances Due To/From Other Funds

Balances due to/from other funds at June 30, 2025, consisted of the following:

	Due From Other Funds		
	General Fund	Non-Major Governmental Funds	Total
General Fund	\$ -	\$ 890,333	\$ 890,333
Special Reserve Fund for Capital Outlay	9,560	-	9,560
Non-Major Governmental Funds	928,636	12,122	940,758
Totals	<u>\$ 938,196</u>	<u>\$ 902,455</u>	<u>\$ 1,840,651</u>
General Fund due to Cafeteria Special Revenue Fund for equipment purchases and student cafeteria snacks			\$ 694,591
General Fund due to Capital Facilities Fund for legal expenses for property purchase			195,742
Cafeteria Special Revenue Fund due to General Fund to cover indirect costs, H&W, payroll expenses and insurance			491,826
Charter Schools Special Revenue Fund Due to General Fund for charter school costs, workers comp., and retiree insurance costs			436,810
Charter Schools Special Revenue Fund due to Cafeteria Special Revenue Fund for student cafeteria snacks			12,122
Special Reserve Fund for Capital Outlay Projects due to General Fund for HVAC construction project			9,560
Totals			<u>\$ 1,840,651</u>

VICTOR ELEMENTARY SCHOOL DISTRICT*Notes to Financial Statements**June 30, 2025*

NOTE 5 – FUND BALANCES

At June 30, 2025, fund balances of the District's governmental funds were classified as follows:

	General Fund	Special Reserve Fund for Capital Outlay	Non-Major Governmental Funds	Total
Nonspendable:				
Revolving cash	\$ 50,000	\$ -	\$ 10,000	\$ 60,000
Stores inventories	194,178	-	227,205	421,383
Prepaid expenditures	395,974	-	-	395,974
Total Nonspendable	640,152	-	237,205	877,357
Restricted:				
Categorical programs	64,496,352	-	1,343,532	65,839,884
Nutritional services	-	-	11,724,038	11,724,038
Capital projects	-	85,071,624	7,372,301	92,443,925
Debt service	-	-	7,029,159	7,029,159
Total Restricted	64,496,352	85,071,624	27,469,030	177,037,006
Committed:				
Electric bus purchases	1,160,000	-	-	1,160,000
Future ADA loss	3,300,000	-	-	3,300,000
Future textbook adoption	8,835,042	-	-	8,835,042
Future TK expansion	5,300,000	-	-	5,300,000
Health, welfare, and insurance	6,605,191	-	-	6,605,191
Deferred maintenance program	-	-	2,757,662	2,757,662
Total Committed	25,200,233	-	2,757,662	27,957,895
Assigned:				
Professional development	3,797,424	-	-	3,797,424
Learning for all	1,489,402	-	-	1,489,402
School site carryover	427,810	-	-	427,810
Lottery carryover	5,757,091	-	-	5,757,091
Charter schools	-	-	6,576,948	6,576,948
Postemployment benefits	5,290,080	-	-	5,290,080
Total Assigned	16,761,807	-	6,576,948	23,338,755
Unassigned:				
Reserve for economic uncertainties	12,486,579	-	-	12,486,579
Remaining unassigned balances	7,939,386	-	-	7,939,386
Total Unassigned	20,425,965	-	-	20,425,965
Total	\$ 127,524,509	\$ 85,071,624	\$ 37,040,845	\$ 249,636,978

VICTOR ELEMENTARY SCHOOL DISTRICT
Notes to Financial Statements
June 30, 2025

NOTE 6 – CAPITAL ASSETS AND DEPRECIATION

Capital asset activity for the year ended June 30, 2025, was as follows:

	Balance, July 1, 2024	Additions	Decreases	Balance, June 30, 2025
Capital assets not being depreciated:				
Land	\$ 29,720,762	\$ 127,858	\$ -	\$ 29,848,620
Construction in progress	9,925,338	9,313,313	8,549,103	10,689,548
Total capital assets not being depreciated	<u>39,646,100</u>	<u>9,441,171</u>	<u>8,549,103</u>	<u>40,538,168</u>
Capital assets being depreciated:				
Improvement of sites	12,305,387	5,825,748	-	18,131,135
Buildings	198,097,116	15,216,826	-	213,313,942
Equipment	31,229,060	1,555,718	-	32,784,778
Total capital assets being depreciated	<u>241,631,563</u>	<u>22,598,292</u>	<u>-</u>	<u>264,229,855</u>
Accumulated depreciation for:				
Improvement of sites	(8,318,617)	(542,123)	-	(8,860,740)
Buildings	(82,967,282)	(4,691,501)	-	(87,658,783)
Equipment	(22,058,460)	(1,978,269)	-	(24,036,729)
Total accumulated depreciation	<u>(113,344,359)</u>	<u>(7,211,893)</u>	<u>-</u>	<u>(120,556,252)</u>
Leased assets:				
Equipment leases	795,625	248,957	159,859	884,723
Accumulated amortization for:				
Equipment leases	(415,021)	(223,816)	(159,859)	(478,978)
Total leased assets, net	<u>380,604</u>	<u>25,141</u>	<u>-</u>	<u>405,745</u>
Subscription assets:				
IT subscriptions	5,096,880	1,606,317	296,287	6,406,910
Accumulated amortization for:				
IT subscriptions	(1,619,592)	(1,455,118)	(296,287)	(2,778,423)
Total subscription assets, net	<u>3,477,288</u>	<u>151,199</u>	<u>-</u>	<u>3,628,487</u>
Governmental activity capital assets, net	<u>\$ 171,791,196</u>	<u>\$ 25,003,910</u>	<u>\$ 8,549,103</u>	<u>\$ 188,246,003</u>

Depreciation and amortization expense is allocated to the following functions in the Statement of Activities:

Instruction	\$ 5,847,906
Instructional Library, Media, and Technology	39,708
School Site Administration	119,170
Home to School Transportation	1,649,061
Food Services	381,774
All Other Pupil Services	8,475
All Other General Administration	211,421
Centralized Data Processing	91,190
Plant Services	542,122
Total	<u>\$ 8,890,827</u>

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 7 – LONG-TERM LIABILITIES OTHER THAN OPEB OR PENSIONS

Changes in long-term debt for the year ended June 30, 2025, were as follows:

	Balance, July 1, 2024	Additions	Deductions	Balance, June 30, 2025	Amount Due Within One Year
General Obligation Bonds:					
Principal payments	\$ 44,002,771	\$ -	\$ 1,766,131	\$ 42,236,640	\$ 1,506,336
Accreted interest	23,056,274	2,481,457	3,278,870	22,258,861	3,807,210
Unamortized premium	1,727,293	-	201,355	1,525,938	147,371
Total G.O. Bonds	68,786,338	2,481,457	5,246,356	66,021,439	5,460,917
Compensated absences:					
Vacation leave	801,933	-	127,921	674,012	55,347
Sick leave*	13,607,331	475,319	-	14,082,650	3,579,548
Equipment leases	381,341	248,957	196,114	434,184	202,256
Subscription-based IT arrangements	3,443,339	1,082,450	1,260,228	3,265,561	1,199,903
Subtotals	\$ 87,020,282	\$ 4,288,183	\$ 6,830,619	\$ 84,477,846	\$ 10,497,971

*restated for implementation of GASB 101

Payments for general obligation bonds are made by the Bond Interest and Redemption Fund. Additions and deductions for compensated absences are reported net of their cumulative change in the current year. Subscription and equipment lease payments are made by the General Fund.

A. General Obligation Bonds

The District has issued general obligation bonds under different voter-approved measures, as described below. Bonds are payable solely from *ad valorem* taxes to be levied within the District pursuant to the California Constitution and other state law. The Board of Supervisors of the County is empowered and is obligated to levy *ad valorem* taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Bonds.

Election of 2001

Bonds were authorized at an election of the registered voters of the District held on November 6, 2001, at which more than 55 percent of the persons voting on the measure voted to authorize the issuance and sale of \$30 million general obligation bonds. The bonds were issued to finance the improvement of real property in the District and to pay the costs of issuance of the bonds.

Election of 2008

On November 4, 2008, District voters approved Measure E, authorizing the District to issue up to \$150 million in general obligation bonds to maintain, upgrade, and construct school facilities.

Prior-Year Defeasance of Debt

In prior years, the District defeased certain general obligation bonds by placing the proceeds of new refunding bonds in an irrevocable trust to provide for all future debt service payments on the old bonds. Accordingly, the trust account assets and the liability for the defeased bonds are not included in the District's financial statements. At June 30, 2025, there was no principal balance outstanding on the defeased debt.

The difference between the reacquisition price and the net carrying amount of the old debt is reported as a deferred outflow of resources and recognized as a component of interest expense in a systematic and rational manner over the remaining life of the old debt or the life of the new debt, whichever is shorter. At June 30, 2025, deferred amounts on refunding were \$374,230.

VICTOR ELEMENTARY SCHOOL DISTRICT
Notes to Financial Statements
June 30, 2025

NOTE 7 – LONG-TERM DEBT OTHER THAN PENSIONS (continued)

A. General Obligation Bonds (continued)

A summary of outstanding bonds is shown below:

Series	Issue Date	Maturity Date	Interest Rate	Original Issue	Balance, July 1, 2024	Additions	Deductions	Balance, June 30, 2025
2001 Election								
Series A	6/13/2002	8/1/2026	2.75%-5.73%	\$ 15,997,340	\$ 1,640,484	\$ -	\$ 549,476	\$ 1,091,008
Series B	5/19/2005	8/1/2030	3.0%-5.1%	10,752,264	5,120,474	-	385,610	4,734,864
Series C	7/13/2006	8/1/2026	4.0%-5.0%	3,249,943	139,943	-	-	139,943
2008 Election								
Series A	12/3/2009	8/1/2034	2.0%-4.0%	19,999,831	1,016,742	-	227,879	788,863
Series B	6/3/2015	8/1/2042	3.0%	16,496,790	15,109,517	-	238,166	14,871,351
Series C	6/12/2019	8/1/2044	2.47%-4.00%	7,995,611	7,990,611	-	5,000	7,985,611
Refunding Bonds								
2014 Refunding	5/22/2014	8/1/2024	2.0%-5.0%	5,320,000	300,000	-	300,000	-
2016 Refunding	5/12/2016	8/1/2034	3.0%-4.0%	14,170,000	12,685,000	-	60,000	12,625,000
Totals					<u>\$ 44,002,771</u>	<u>\$ -</u>	<u>\$ 1,766,131</u>	<u>\$ 42,236,640</u>
Accreted Interest Component:								
2001A					\$ 4,583,230	\$ 328,962	\$ 1,600,525	\$ 3,311,667
2001B					8,204,134	676,145	614,390	8,265,889
2001C					639,744	80,160	-	719,904
2008A					4,082,364	545,673	982,121	3,645,916
2008B					4,989,347	717,912	81,834	5,625,425
2008C					557,455	132,605	-	690,060
Totals					<u>\$ 23,056,274</u>	<u>\$ 2,481,457</u>	<u>\$ 3,278,870</u>	<u>\$ 22,258,861</u>

The annual requirements to amortize general obligation bonds outstanding as of June 30, 2025, are as follows:

Fiscal Year	Principal	Interest	Total
2025-26	\$ 1,506,336	\$ 4,834,414	\$ 6,340,750
2026-27	1,485,621	5,157,254	6,642,875
2027-28	1,674,260	4,730,490	6,404,750
2028-29	1,675,898	5,060,852	6,736,750
2029-30	3,086,440	3,960,810	7,047,250
2030-35	12,742,362	9,508,445	22,250,807
2035-40	6,402,169	12,248,472	18,650,641
2040-45	13,663,554	10,339,533	24,003,087
	<u>\$ 42,236,640</u>	<u>\$ 55,840,270</u>	<u>\$ 98,076,910</u>

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 7 – LONG-TERM LIABILITIES OTHER THAN OPEB OR PENSIONS (continued)

B. Subscription-Based Information Technology Arrangements

The District is involved in several arrangements for subscription-based software. The initial terms for these subscriptions range from 24 to 72 months. There are no variable payments not included in the measurement of the lease liability, no residual value guarantees provided and no commitments before the commencement of the lease term. The District used either the stated interest rate or the State's incremental borrowing rate at inception to discount the subscription payments to the net present value. Other key assumptions and policies can be found in Note 1.D. The related asset disclosures are presented in Note 6.

Annual future payments are as follows:

Fiscal Year	Principal	Interest	Total
2025-26	\$ 1,199,903	\$ 76,839	\$ 1,276,742
2026-27	1,148,122	46,096	1,194,218
2027-28	708,630	18,737	727,367
2028-29	208,906	-	208,906
	<u>\$ 3,265,561</u>	<u>\$ 141,672</u>	<u>\$ 3,407,233</u>

C. Equipment Leases

The District is involved in several leases for equipment. The initial terms for these leases are 60 months. There are no variable payments not included in the measurement of the lease liability, no residual value guarantees provided and no commitments before the commencement of the lease terms. The District used either the stated interest rate or the State's incremental borrowing rate at inception to discount the lease payments to the net present value. Other key assumptions and policies can be found in Note 1.D. The related asset disclosures are presented in Note 6.

Fiscal Year	Principal	Interest	Total
2025-26	\$ 202,256	\$ 6,464	\$ 208,720
2026-27	91,126	4,755	95,881
2027-28	75,040	3,114	78,154
2028-29	52,275	1,477	53,752
2029-30	13,487	-	13,487
	<u>\$ 434,184</u>	<u>\$ 15,810</u>	<u>\$ 449,994</u>

D. Non-Obligatory Debt

Non-obligatory debt relates to debt issuances by the Community Facility Districts, as authorized by the Mello-Roos Community Facilities Act of 1982 as amended, and the Marks-Roos Local Bond Pooling Act of 1985, and are payable from special taxes levied on property within the Community Facilities Districts according to a methodology approved by the voters within the District. Neither the faith and credit nor taxing power of the District is pledged to the payment of the bonds. Reserves have been established from the bond proceeds to meet delinquencies should they occur.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 7 – LONG-TERM LIABILITIES OTHER THAN OPEB OR PENSIONS (continued)

D. Non-Obligatory Debt (continued)

If delinquencies occur beyond the amounts held in those reserves, the District has no duty to pay the delinquency out of any available funds of the District. The District acts solely as an agent for those paying taxes levied and the bondholders may initiate foreclosure proceedings. Special assessment debt of \$26,793,500 as of June 30, 2025, does not represent debt of the District and, as such, does not appear in the financial statements.

NOTE 8 – OTHER POST-EMPLOYMENT BENEFITS (OPEB)

For the fiscal year ended June 30, 2025, the District reported net OPEB liability, deferred outflows of resources, deferred inflows of resources, and OPEB expense for the following plans:

	OPEB Liability	Deferred Outflows of Resources	Deferred Inflows of Resources	OPEB Expense
District Plan	\$ 39,692,866	\$ 10,656,162	\$ 34,153,455	\$ 4,140,492
MPP Program	448,951	-	-	(68,302)
Totals	<u>\$ 40,141,817</u>	<u>\$ 10,656,162</u>	<u>\$ 34,153,455</u>	<u>\$ 4,072,190</u>

The details of each plan are as follows:

District Plan

Plan Description

The District's single employer defined benefit OPEB plan provides OPEB for eligible certificated, classified, and management employees of the District. The authority to establish and amend the benefit terms and financing requirements are governed by collective bargaining agreements with plan members. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement 75.

Benefits Provided

The post-retirement health plans, and the District's obligation vary by employee group as described below.

	Certificated	Classified	Management
Benefit types provided	Medical only	Medical only	Medical only
Duration of Benefits	10 years but not beyond Medicare eligibility	10 years but not beyond Medicare eligibility	10 years but not beyond Medicare eligibility
Required Service	10 years	10 years	10 years
Minimum Age	55	55	55
Dependent Coverage	Yes	Yes	Yes
District Contribution %	100%	100%	100%
District Cap	Same as active	Same as active	Same as active

Cabinet members receive lifetime benefits subject to certain requirements.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 8 – OTHER POST-EMPLOYMENT BENEFITS (OPEB) (continued)

District Plan (continued)

Employees Covered by Benefit Terms

As of the valuation date, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	97
Active employees	1,034
Total	<u>1,131</u>

Total OPEB Liability

The District's total OPEB liability of \$39,692,866 for the Plan was measured as of June 30, 2025, and was determined by an actuarial valuation as June 30, 2025.

Actuarial Assumptions and Other Inputs

The total OPEB liability in the June 30, 2025, actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Valuation Date	June 30, 2025
Valuation interest rate	5.20%
Salary increases	2.75%
Healthcare cost trend rates	4.00%
Inflation	2.50%

Discount Rate

The actuarial valuation used the Bond Buyer 20 Index at June 30, 2025, and rounded the rate resulting in a rate of 5.20%.

Mortality Rates

The mortality assumptions are based on the 2020 CalSTRS Mortality table created by CalSTRS and the 2021 CalPERS Retiree Mortality for Miscellaneous and Schools Employees table created by CalPERS.

Changes in the Total OPEB Liability

	Total OPEB Liability
Balance at July 1, 2024	<u>\$ 59,469,343</u>
Changes for the year:	
Service cost	3,577,779
Interest	2,350,589
Differences between expected and actual experience	2,258,515
Changes of assumptions	(25,069,761)
Benefit payments	<u>(2,893,599)</u>
Net changes	<u>(19,776,477)</u>
Balance at June 30, 2025	<u>\$ 39,692,866</u>

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 8 – OTHER POST-EMPLOYMENT BENEFITS (OPEB) (continued)

District Plan (continued)

Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is one percentage-point lower or one percentage-point higher than the current discount rate:

Discount Rate	OPEB Liability
1% decrease	\$ 42,538,985
Current discount rate	\$ 39,692,866
1% increase	\$ 37,065,114

Sensitivity of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rates

The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are one percentage-point lower or one percentage-point higher than the current healthcare cost trend rates:

Healthcare Cost Trend Rate	OPEB Liability
1% decrease	\$ 35,898,920
Current trend rate	\$ 39,692,866
1% increase	\$ 44,135,934

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

For the year ended June 30, 2025, the District recognized OPEB expense of \$4,140,492. In addition, at June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 8,564,118	\$ 5,066,020
Changes of assumptions	2,092,044	29,087,435
Totals	<u>\$ 10,656,162</u>	<u>\$ 34,153,455</u>

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 8 – OTHER POST-EMPLOYMENT BENEFITS (OPEB) (continued)

District Plan (continued)

Amounts reported as deferred outflows and deferred inflows of resources will be recognized in OPEB expense as follows:

Year Ended June 30:	Deferred Outflows of Resources	Deferred Inflows of Resources
2026	\$ 1,151,757	\$ 2,939,633
2027	1,151,757	2,939,633
2028	1,151,757	2,939,633
2029	1,151,757	2,939,633
2030	1,151,757	2,939,633
Thereafter	4,897,377	19,455,290
Totals	<u>\$ 10,656,162</u>	<u>\$ 34,153,455</u>

Medicare Premium Payment (MPP) Program

Plan Description

The MPP Program is a cost-sharing multiple-employer other postemployment benefit (OPEB) plan established pursuant to Chapter 1032, Statutes of 2000 (SB 1435). CalSTRS administers the MPP Program through the Teachers' Health Benefit Fund (THBF).

A full description of the MPP Program regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2023, annual actuarial valuation report, Medicare Premium Payment Program. This report and CalSTRS audited financial information are publicly available reports that can be found on the CalSTRS website under Publications at: <https://www.calstrs.com/general-information/gasb-6768>.

Benefits Provided

The MPP Program pays Medicare Part A premiums and Medicare Parts A and B late enrollment surcharges for eligible members of the DB Program who were retired or began receiving a disability allowance prior to July 1, 2012, and were not eligible for premium-free Medicare Part A. Members who retire on or after July 1, 2012, are not eligible for coverage under the MPP Program.

As of June 30, 2024, 4,121 retirees participated in the MPP Program; however, the number of retired members who will participate in the program in the future is unknown as eligibility cannot be predetermined.

The MPP Program is funded on a pay-as-you-go basis from a portion of monthly employer contributions. In accordance with *Education Code* Section 22950, contributions that would otherwise be credited to the DB Program each month are instead credited to the MPP Program to fund monthly program and administrative costs. Total redirections to the MPP Program are monitored to ensure that total incurred costs do not exceed the amount initially identified as the cost of the program.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 8 – OTHER POST-EMPLOYMENT BENEFITS (OPEB) (continued)

Medicare Premium Payment (MPP) Program (continued)

Total OPEB Liability

At June 30, 2025, the District reported a liability of \$448,951 for its proportionate share of the net OPEB liability for the MPP Program. The total OPEB liability for the MPP Program as of June 30, 2024, was determined by applying update procedures to the financial reporting actuarial valuation as of June 30, 2023, and rolling forward the total OPEB liability to June 30, 2024. The District's proportion of the net OPEB liability was based on a projection of the District's long-term share of contributions to the OPEB plan relative to the projected contributions of all participating school districts and the State, actuarially determined. The District's proportions of the net OPEB liability for the two most recent measurement periods were:

	<u>Percentage Share of MPP Program</u>		<u>Change Increase/ (Decrease)</u>
	<u>Fiscal Year Ending June 30, 2025</u>	<u>Fiscal Year Ending June 30, 2024</u>	
Measurement Date	<u>June 30, 2024</u>	<u>June 30, 2023</u>	
Proportion of the Net OPEB Liability	0.168431%	0.170465%	(0.002034%)

For the year ended June 30, 2025, the District reported OPEB expense of \$(68,302).

Actuarial Assumptions and Other Inputs

The total OPEB liability in the June 30, 2023, actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Measurement Date	June 30, 2024
Valuation Date	June 30, 2023
Experience Study	July 1, 2007 through June 30, 2022
Actuarial Cost Method	Entry age actuarial cost method
Investment Rate of Return	3.93%
Healthcare Cost Trend Rates	5.0% for Medicare Part A, and 6.5% for Medicare Part B

Assumptions were made about future participation (enrollment) into the MPP Program as CalSTRS is unable to determine which members not currently participating meet all eligibility criteria for enrollment in the future. Assumed enrollment rates were derived based on past experience and are stratified by age with the probability of enrollment diminishing as the members' ages increase. This estimated enrollment rate was then applied to the population of members who may meet criteria necessary for eligibility but are not currently enrolled in the MPP Program. Based on this, the estimated number of future enrollments used in the financial reporting valuation was 154 or an average of 0.12% of the potentially eligible population of 132,333.

CalSTRS uses a generational mortality assumption, which is based off generational mortality tables that reflect expected future improvements in mortality and includes a base table and projection table. The base mortality tables are CalSTRS custom tables derived to best fit the patterns of mortality among our members. The projection table reflects the expected annual reduction in mortality rates at each age. The current mortality assumption uses a base year of 2023, and projected improvement is based on the MP-2021 Ultimate Projection Scale.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 8 – OTHER POST-EMPLOYMENT BENEFITS (OPEB) (continued)

Medicare Premium Payment (MPP) Program (continued)

Discount Rate

The MPP Program is funded on a pay-as-you-go basis with contributions generally being made at the same time and in the same amount as benefit payments and expenses coming due. Any funds within the MPP Program as of June 30, 2024, were to manage differences between estimated and actual amounts to be paid and were invested in the Surplus Money Investment Fund (SMIF), which is a pooled investment program administered by the California State Treasurer.

As the MPP Program is funded on a pay-as-you-go basis, the OPEB plan's fiduciary net position was not projected to be sufficient to make projected future benefit payments. Therefore, the MPP Program used the Bond Buyer's 20-Bond GO Index from Bondbuyer.com as of June 30, 2024, as the discount rate, which was applied to all periods of projected benefit payments to measure the total OPEB liability. The discount rate as of June 30, 2024, was 3.93%, which is an increase of 0.28% from 3.65% as of June 30, 2023.

Sensitivity of the Proportionate Share of the Net OPEB Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net OPEB liability, as well as what the District's proportionate share of the net OPEB liability would be if it were calculated using a discount rate that is one percentage-point lower or one percentage-point higher than the current discount rate:

		MPP OPEB
	Discount Rate	Liability
	1% decrease	\$ 484,407
	Current discount rate	\$ 448,951
	1% increase	\$ 417,774

Sensitivity of the Proportionate Share of the Net OPEB Liability to Changes in the Medicare Costs Trend Rates

The following presents the District's proportionate share of the net OPEB liability, as well as what the District's proportionate share of the net OPEB liability would be if it were calculated using Medicare costs trend rates that are one percentage-point lower or one percentage-point higher than the current rates:

		MPP OPEB
	Medicare Cost Trend Rates	Liability
	1% decrease	\$ 415,904
	Current trend rate	\$ 448,951
	1% increase	\$ 485,845

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 9 – PENSION PLANS

Qualified employees are covered under multiple employer defined benefit pension plans maintained by agencies of the State of California. Certificated employees are members of the California State Teachers' Retirement System (CalSTRS), and classified employees are members of the California Public Employees' Retirement System (CalPERS).

For the fiscal year ended June 30, 2025, the District reported net pension liabilities, deferred outflows of resources, deferred inflows of resources, and pension expenses for each of the above plans as follows:

Pension Plan	Net Pension Liability	Deferred Outflows of Resources	Deferred Inflows of Resources	Pension Expense
CalSTRS	\$ 77,545,469	\$ 36,196,684	\$ 13,206,730	\$ 5,903,512
CalPERS	48,778,183	22,082,165	7,957,066	9,053,507
Totals	<u>\$ 126,323,652</u>	<u>\$ 58,278,849</u>	<u>\$ 21,163,796</u>	<u>\$ 14,957,019</u>

The details of each plan are as follows:

A. California State Teachers' Retirement System (CalSTRS)

Plan Description

The District contributes to the State Teachers Retirement Plan (STRP) administered by the California State Teachers' Retirement System (CalSTRS). STRP is a cost-sharing multiple-employer public employee retirement system defined benefit pension plan. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2023, annual actuarial valuation report, Defined Benefit Program Actuarial Valuation. This report and CalSTRS audited financial information are publicly available reports that can be found on the CalSTRS website under Publications at: <https://www.calstrs.com/general-information/gasb-6768>.

Benefits Provided

The STRP provides retirement, disability and survivor benefits to beneficiaries. Benefits are based on members' final compensation, age, and years of service credit. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 60. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. The normal retirement benefit is equal to 2.0% of final compensation for each year of credited service.

The STRP is a multiple-employer, cost-sharing defined benefit plan composed of four programs: Defined Benefit (DB) Program, Defined Benefit Supplement (DBS) Program, Cash Balance Benefit (CBB) Program and Replacement Benefits (RB) Program. A Supplemental Benefit Maintenance Account (SBMA) exists within the STRP and provides purchasing power protection for DB Program benefits. The STRP holds assets for the exclusive purpose of providing benefits to members of these programs and their beneficiaries. CalSTRS also uses plan assets to defray reasonable expenses of administering the STRP. Although CalSTRS is the administrator of the STRP, the state is the sponsor and obligor of the trust. In addition, the state is both an employer and non-employer contributing entity to the STRP.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 9 – PENSION PLANS (continued)

A. California State Teachers' Retirement System (CalSTRS) (continued)

Benefits Provided (continued)

The STRP provisions and benefits in effect at June 30, 2025, are summarized as follows:

	STRP Defined Benefit Program	
	On or before December 31, 2012	On or after January 1, 2013
Hire Date	2% at 60	2% at 62
Benefit Formula	5 years of service	5 years of service
Benefit Vesting Schedule	Monthly for life	Monthly for life
Benefit Payments	60	62
Retirement Age	2.0%-2.4%	2.0%-2.4%
Monthly Benefits as a Percentage of Eligible Compensation	10.25%	10.205%
Required Member Contribution Rate	19.10%	19.10%
Required Employer Contribution Rate	10.828%	10.828%
Required State Contribution Rate		

Contributions

The parameters for member, employer and state contribution rates are set by the California Legislature and the Governor and detailed in the Teachers' Retirement Law. Current contribution rates were established by California Assembly Bill 1469 (CalSTRS Funding Plan), which was passed into law in June 2014 and established a schedule of contribution rate increases shared among members, employers and the state to bring CalSTRS toward full funding by 2046.

The contribution rates for each program for the year ended June 30, 2025, are presented above, and the District's total contributions were \$15,330,041.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2025, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related state support and the total portion of the net pension liability that was associated with the District were as follows:

District's proportionate share of net pension liability	\$	77,545,469
State's proportionate share of the net pension liability associated with the District		35,578,128
Total	\$	<u>113,123,597</u>

The net pension liability was measured as of June 30, 2024. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts and the State, actuarially determined.

VICTOR ELEMENTARY SCHOOL DISTRICT*Notes to Financial Statements**June 30, 2025*

NOTE 9 – PENSION PLANS (continued)**A. California State Teachers' Retirement System (CalSTRS) (continued)****Benefits Provided (continued)****Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions (continued)**

The District's proportions of the net pension liability for the two most recent measurement periods were:

	Percentage Share of Risk Pool		Change Increase/ (Decrease)
	Fiscal Year Ending June 30, 2025	Fiscal Year Ending June 30, 2024	
Measurement Date	June 30, 2024	June 30, 2023	
Proportion of the Net Pension Liability	0.115459%	0.115247%	0.000212%

For the year ended June 30, 2025, the District recognized pension expense of \$5,903,512. In addition, the District recognized pension expense and revenue of \$(3,339,301) for support provided by the State. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 15,330,041	\$ -
Net change in proportionate share of net pension liability	11,755,804	4,206,731
Difference between projected and actual earnings on pension plan investments	-	312,893
Changes of assumptions	339,448	5,296,087
Differences between expected and actual experience	8,771,391	3,391,019
Totals	<u>\$ 36,196,684</u>	<u>\$ 13,206,730</u>

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year. The deferred outflows/(inflows) of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period. The deferred outflows/(inflows) of resources related to the net change in proportionate share of net pension liability, changes of assumptions, and differences between expected and actual experience in the measurement of the total pension liability will be amortized over the Expected Average Remaining Service Life (EARS�) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARS� for the measurement period is 7 years.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 9 – PENSION PLANS (continued)

A. California State Teachers' Retirement System (CalSTRS) (continued)

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions (continued)

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows of Resources	Deferred Inflows of Resources
2026	\$ 3,016,984	\$ 6,542,510
2027	9,437,895	1,342,254
2028	2,678,445	2,022,305
2029	2,291,458	2,375,608
2030	2,563,940	460,295
Thereafter	877,921	463,758
Totals	\$ 20,866,643	\$ 13,206,730

Actuarial Methods and Assumptions

The total pension liability for the STRP was determined by applying update procedures to the financial reporting actuarial valuation as of June 30, 2023, and rolling forward the total pension liability to June 30, 2024. Significant actuarial methods and assumptions used in the financial reporting actuarial valuation to determine the total pension liability as of June 30, 2024, include:

Valuation Date	June 30, 2023
Experience Study	July 1, 2007, through June 30, 2022
Actuarial Cost Method	Individual Entry Age
Investment Rate of Return	7.00%
Inflation	2.75%
Payroll Growth	3.50%

CalSTRS uses a generational mortality assumption, which is based off generational mortality tables that reflect expected future improvements in mortality and includes a base table and a projection table. The base mortality tables are CalSTRS custom tables derived to best fit the patterns of mortality amongst our members. The projection table reflects the expected annual reduction in mortality rates at each age. The current mortality assumption uses a base year of 2023, and projected improvement is based on the MP-2021 Ultimate Projection Scale.

The long-term investment rate of return assumption was determined using a building-block method in which best-estimate ranges of expected future real rates of return are developed for each major asset class/strategy. Expected real rates of return are net of the 2.75% inflation assumption and are derived from best-estimate ranges of 20- to 30-year geometrically linked expected returns. These best-estimate ranges were developed using capital market assumptions from CalSTRS investment staff and investment consultants as inputs to the process.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 9 – PENSION PLANS (continued)

A. California State Teachers' Retirement System (CalSTRS) (continued)

Actuarial Methods and Assumptions (continued)

The actuarial investment rate of return assumption was adopted by the board in January 2024 in conjunction with the most recent experience study. For each current and future valuation, CalSTRS' independent consulting actuary (Milliman) reviews the return assumption for reasonableness based on the most current capital market assumptions. The assumed asset allocation and best estimates of the expected rates of return for each major asset class/strategy as of June 30, 2024, are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Rate of Return	Long-Term Expected Real Rate of Return
Public Equity	38.0%	8.00%	5.25%
Real Estate	15.0%	6.80%	4.05%
Private Equity	14.0%	9.50%	6.75%
Fixed Income	14.0%	5.20%	2.45%
Risk Mitigating Strategies	10.0%	5.00%	2.25%
Inflation Sensitive	7.0%	6.40%	3.65%
Cash/Liquidity	2.0%	2.80%	0.05%

Discount Rate

The discount rate used to measure the total pension liability was 7.10%, which was unchanged from the prior fiscal year. The projection of cash flows used to determine the discount rate assumed that contributions from plan members and employers are made at statutory contribution rates in accordance with the rate increases. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return of 7.10% and assume that contributions, benefit payments and administrative expenses occur midyear. Based on those assumptions, the STRP's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine the total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net Pension Liability
1% decrease (6.10%)	\$ 137,928,016
Current discount rate (7.10%)	\$ 77,545,469
1% increase (8.10%)	\$ 27,123,538

On Behalf Payments

The State of California makes contributions to CalSTRS on behalf of the District. These payments consist of State General Fund contributions to CalSTRS pursuant to Sections 22954, 22955, and 22955.1 of the *Education Code* and *Public Resources Code* Section 6217.5. Under accounting principles generally accepted in the United States of America, these contributions are reported as revenues and expenditures in the fund financial statements. The total amount recognized by the District for its proportionate share of the State's on-behalf contributions is \$7,183,973.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 9 – PENSION PLANS (continued)

B. California Public Employees Retirement System (CalPERS)

Plan Description

Qualified employees are eligible to participate in the Schools Pool under the California Public Employees' Retirement System (CalPERS), a cost-sharing multiple-employer defined benefit pension plan administered by CalPERS. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2023, annual actuarial valuation report, Schools Pool Accounting Report. This report and CalPERS audited financial information are publicly available reports that can be found on the CalPERS website under Forms and Publications at: <https://www.calpers.ca.gov/page/employers/actuarial-resources/gasb>.

Benefits Provided

CalPERS provides service retirement and disability benefits, annual cost of living adjustments and death benefits to plan members, who must be public employees and beneficiaries. Benefits are based on years of service credit, a benefit factor, and the members' final compensation. Members hired on or before December 31, 2012, with five years of total service are eligible to retire at age 50 with statutorily reduced benefits. Members hired on or after January 1, 2013, with five years of total service are eligible to retire at age 52 with statutorily reduced benefits. All members are eligible for non-duty disability benefits after five years of service. The Basic Death Benefit is paid to any member's beneficiary if the member dies while actively employed. An employee's eligible survivor may receive the 1957 Survivor Benefit if the member dies while actively employed, is at least age 50 (or 52 for members hired on or after January 1, 2013), and has at least five years of credited service. The cost-of-living adjustments for each plan are applied as specified by the Public Employees' Retirement Law.

The CalPERS provisions and benefits in effect at June 30, 2025, are summarized as follows:

	Schools Pool (CalPERS)	
	On or before December 31, 2012	On or after January 1, 2013
Hire Date		
Benefit Formula	2% at 55	2% at 62
Benefit Vesting Schedule	5 years of service	5 years of service
Benefit Payments	Monthly for life	Monthly for life
Retirement Age	55	62
Required Employee Contribution Rate	7.00%	8.00%
Required Employer Contribution Rate	27.05%	27.05%

Contributions

The benefits for the defined benefit pension plans are funded by contributions from members, employers, non-employers, and earnings from investments. Member and employer contributions are a percentage of applicable member compensation. Member contribution rates are defined by law and depend on the respective employer's benefit formulas. In some circumstances, contributions are made by the employer to satisfy member contribution requirements. Member and employer contribution rates are determined by periodic actuarial valuations or by state statute. Actuarial valuations are based on the benefit formulas and employee groups of each employer. Non-employer contributions are not expected each year, but when provided they are accrued for. The contribution rates are expressed as a percentage of annual payroll. The contribution rates for each plan for the year ended June 30, 2025, are presented above, and the total District contributions were \$7,666,903.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 9 – PENSION PLANS (continued)

B. California Public Employees Retirement System (CalPERS) (continued)

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

As of June 30, 2025, the District reported net pension liabilities for its proportionate share of the CalPERS net pension liability totaling \$48,778,183. The net pension liability was measured as of June 30, 2024. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. The District's proportions of the net pension liability for the two most recent measurement periods were:

	Percentage Share of Risk Pool		Change Increase/ (Decrease)
	Fiscal Year Ending June 30, 2025	Fiscal Year Ending June 30, 2024	
Measurement Date	June 30, 2024	June 30, 2023	
Proportion of the Net Pension Liability	0.136485%	0.141442%	(0.004957%)

For the year ended June 30, 2025, the District recognized pension expense of \$9,053,507. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 7,666,903	\$ -
Net change in proportionate share of net pension liability	1,992,659	2,247,610
Difference between projected and actual earnings on pension plan investments	7,255,103	5,360,353
Changes of assumptions	1,078,163	-
Differences between expected and actual experience	4,089,337	349,103
Totals	\$ 22,082,165	\$ 7,957,066

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year. The deferred outflows/(inflows) of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period. The deferred outflows/(inflows) of resources related to the net change in proportionate share of net pension liability, changes of assumptions, and differences between expected and actual experience in the measurement of the total pension liability will be amortized over the Expected Average Remaining Service Life (EARS�) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARS� for the measurement period is 3.9 years.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 9 – PENSION PLANS (continued)

B. California Public Employees Retirement System (CalPERS) (continued)

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions (continued)

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows of Resources	Deferred Inflows of Resources
2026	\$ 7,259,201	\$ 4,693,782
2027	5,630,812	1,342,151
2028	1,525,249	979,568
2029	-	941,565
2030	-	-
Thereafter	-	-
Totals	<u>\$ 14,415,262</u>	<u>\$ 7,957,066</u>

Actuarial Methods and Assumptions

Total pension liability for the Schools Pool was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2023, and rolling forward the total pension liability to June 30, 2024. The financial reporting actuarial valuation as of June 30, 2023, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation Date	June 30, 2023
Experience Study	2000-2019
Actuarial Cost Method	Individual entry age normal
Discount Rate	6.9%
Inflation Rate	2.3%
Salary Increases	Varies by entry age and service

Post-retirement mortality rates are based on CalPERS' experience and include generational mortality improvement using 80 percent of Scale MP 2020 published by the Society of Actuaries. These tables are used to estimate the value of benefits expected to be paid for service and disability retirements. For disability retirements, impaired longevity is recognized by a separate table.

In determining the long-term expected rate of return, CalPERS took into account 20-year market return expectations as well as the expected pension fund cash flows. Projected returns for all asset classes are estimated and, combined with risk estimates, are used to project compound (geometric) returns over the long term. The discount rate used to discount liabilities was informed by the long-term projected portfolio return.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 9 – PENSION PLANS (continued)

B. California Public Employees Retirement System (CalPERS) (continued)

Actuarial Methods and Assumptions (continued)

The target asset allocation and best estimates of real rates of return for each major asset class are summarized in the following table:

Asset Class	Assumed Asset Allocation	Real Return
Global Equity Cap-weighted	30.00%	4.54%
Global Equity Non-Cap-weighted	12.00%	3.84%
Private Equity	13.00%	7.28%
Treasury	5.00%	0.27%
Mortgage-backed Securities	5.00%	0.50%
Investment Grade Corporates	10.00%	1.56%
High Yield	5.00%	2.27%
Emerging Market Debt	5.00%	2.48%
Private Debt	5.00%	3.57%
Real Assets	15.00%	3.21%
Leverage	(5.00%)	(0.59%)

Discount Rate

The discount rate used to measure the total pension liability was 6.9%. The discount rate is not adjusted for administrative expenses. The fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return for the pension plan's investments was applied to all periods of projected benefit payments to determine the total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net Pension Liability
1% decrease (5.9%)	\$ 72,460,397
Current discount rate (6.9%)	\$ 48,778,183
1% increase (7.9%)	\$ 29,214,788

C. Social Security

As established by Federal law, all public sector employees who are not members of their employer's existing retirement system (CalSTRS or CalPERS) must be covered by social security or an alternative plan. The District has elected to use Social Security as its alternative plan.

D. Payables to the Pension Plans

At June 30, 2025, the District reported payables of \$1,531,035 and \$145,516 for the outstanding amount of legally required contributions to the CalSTRS and CalPERS pension plans, respectively, for the fiscal year ended June 30, 2025.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 10 – JOINT VENTURES

The Victor Elementary School District participates in joint ventures under joint powers agreements with the High Desert and Inland Employee/Employer Trust (HDIEET), California Schools Employee Benefits Association (CSEBA), and California Schools Risk Management (CSRM). The relationships between the District and the JPAs are such that the JPAs are not a component unit of the District for financial reporting purposes.

The JPAs provide property and liability insurance coverage, health and welfare benefits coverage, and workers compensation insurance coverage. The JPAs are governed by a board consisting of a representative from each member district. The governing board controls the operations of its JPAs independent of any influence by the member districts beyond their representation on the governing board. Each member district pays a premium commensurate with the level of coverage requested and shares surpluses and deficits proportionately to its participation in the JPAs.

Audited financial information is available from the respective JPAs.

NOTE 11 – RISK MANAGEMENT

Property and Liability

The District is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees and natural disasters. During the fiscal year ending June 30, 2025, the District participated in the CSRM public entity risk pool for property and liability insurance coverage. Settled claims have not exceeded this commercial coverage in any of the past three years. There has not been a significant reduction in coverage from the prior year.

Workers' Compensation

For fiscal year 2024-25, the District participated in the CSRM JPA for workers compensation, with excess coverage provided by the Schools Excess Liability Fund (SELF) public entity risk pool.

Employee Medical Benefits

The district has contracted with California School Employee Benefits Association to provide employee medical benefits for classified and management staff, and Self-Insured Schools of California (SISC) to provide employee medical benefits for certificated employees. The District also provides vision and life insurance benefits for all employees through HDIEET and dental insurance through CSEBA.

NOTE 12 – COMMITMENTS AND CONTINGENCIES

A. State and Federal Allowances, Awards, and Grants

The District has received state and federal funds for specific purposes that are subject to review and audit by the grantor agencies. Although such audits could generate expenditure disallowances under terms of the grants, it is believed that any required reimbursement will not be material.

B. Construction Commitments

At June 30, 2025, the District had commitments with respect to unfinished capital projects of approximately \$12.4 million.

C. Litigation

The District is involved in certain legal matters that arose out of normal course of business. The District has not accrued a liability for any potential litigation against it because it does not meet the criteria to be considered a liability at June 30.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to Financial Statements

June 30, 2025

NOTE 13 – ADJUSTMENTS FOR RESTATEMENT

As discussed in Note 1 to the financial statements the District has implemented the provisions of GASB Statement No. 101, *Compensated Absences*. Accordingly, prior year liabilities on the Statement of Activities were restated as follows:

	Statement of Activities
Net position - July 1, 2024, as originally stated	\$ 192,698,301
Implementation of GASB 101	<u>(13,607,331)</u>
Net position - July 1, 2024, as restated	<u>\$ 179,090,970</u>

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Required Supplementary Information

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VICTOR ELEMENTARY SCHOOL DISTRICT
Budgetary Comparison Schedule – General Fund
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts		Actual	Variance with
	Original	Final	(Budgetary Basis)	Pos (Neg)
Revenues				
LCFF Sources	\$ 170,165,097	\$ 169,804,224	\$ 169,804,097	\$ (127)
Federal Sources	9,256,161	10,086,488	9,555,445	(531,043)
Other State Sources	49,272,896	52,960,829	52,710,409	(250,420)
Other Local Sources	5,658,771	14,755,767	13,794,296	(961,471)
Total Revenues	234,352,925	247,607,308	245,864,247	(1,743,061)
Expenditures				
Current:				
Certificated Salaries	87,394,755	100,465,173	86,440,277	14,024,896
Classified Salaries	25,137,533	27,292,702	26,826,428	466,274
Employee Benefits	60,778,856	68,978,731	60,900,261	8,078,470
Books and Supplies	7,901,967	9,467,580	6,921,443	2,546,137
Services and Other Operating Expenditures	41,763,773	45,001,116	43,570,161	1,430,955
Capital Outlay	21,616,346	15,108,367	13,056,085	2,052,282
Other Outgo	9,150,593	13,548,360	13,348,330	200,030
Total Expenditures	253,743,823	279,862,029	251,062,985	28,799,044
Excess (Deficiency) of Revenues Over (Under) Expenditures	(19,390,898)	(32,254,721)	(5,198,738)	27,055,983
Other Financing Sources and Uses				
Contributions	-	10,346,000	-	(10,346,000)
Proceeds from long-term debt	-	-	1,331,407	1,331,407
Total Other Financing Sources and Uses	-	10,346,000	1,331,407	(9,014,593)
Net change in fund balance	(19,390,898)	(21,908,721)	(3,867,331)	18,041,390
Fund Balances, July 1, 2024	121,718,754	126,101,760	126,101,760	-
Fund Balances, June 30, 2025	<u>\$ 102,327,856</u>	<u>\$ 104,193,039</u>	122,234,429	<u>\$ 18,041,390</u>
Other Fund Balances included in the Statement of Revenues, Expenditures and Changes in Fund Balances:				
			Special Reserve Fund for Postemployment Benefits	<u>5,290,080</u>
Total reported General Fund balance on the Statement of Revenues, Expenditures and Changes in Fund Balances:			<u>\$ 127,524,509</u>	

VICTOR ELEMENTARY SCHOOL DISTRICT
Schedule of Proportionate Share of the Net Pension Liability-CalSTRS
For the Fiscal Year Ended June 30, 2025

Last Ten Fiscal Years

Employer's Fiscal Year Measurement Period	2024-25 2023-24	2023-24 2022-23	2022-23 2021-22	2021-22 2020-21	2020-21 2019-20
District's proportion of the net pension liability	0.1155%	0.1152%	0.1082%	0.1033%	0.1117%
District's proportionate share of the net pension liability	\$ 77,545,469	\$ 87,773,050	\$ 75,170,108	\$ 46,997,003	\$ 108,212,867
State's proportionate share of the net pension liability associated with the District	35,578,128	42,054,536	37,644,896	23,647,069	55,783,746
Totals	<u>\$ 113,123,597</u>	<u>\$ 129,827,586</u>	<u>\$ 112,815,004</u>	<u>\$ 70,644,072</u>	<u>\$ 163,996,613</u>
District's covered-employee payroll	\$ 76,999,693	\$ 71,453,305	\$ 63,881,241	\$ 58,374,088	\$ 58,818,895
District's proportionate share of the net pension liability as a percentage of its covered-employee payroll	100.71%	122.84%	117.67%	85.25%	183.98%
Plan fiduciary net position as a percentage of the total pension liability	84%	81%	81%	87%	72%

Employer's Fiscal Year Measurement Period	2019-20 2018-19	2018-19 2017-18	2017-18 2016-17	2016-17 2015-16	2015-16 2014-15
District's proportion of the net pension liability	0.1039%	0.0983%	0.0970%	0.0970%	0.0960%
District's proportionate share of the net pension liability	\$ 93,798,910	\$ 90,351,847	\$ 89,707,473	\$ 78,454,570	\$ 64,631,040
State's proportionate share of the net pension liability associated with the District	51,173,568	51,730,658	53,070,183	44,669,363	34,182,604
Totals	<u>\$ 144,972,478</u>	<u>\$ 142,082,505</u>	<u>\$ 142,777,656</u>	<u>\$ 123,123,933</u>	<u>\$ 98,813,644</u>
District's covered-employee payroll	\$ 54,485,361	\$ 53,809,917	\$ 51,636,407	\$ 47,666,692	\$ 43,724,989
District's proportionate share of the net pension liability as a percentage of its covered-employee payroll	172.15%	167.91%	173.73%	164.59%	147.81%
Plan fiduciary net position as a percentage of the total pension liability	73%	71%	69%	70%	74%

VICTOR ELEMENTARY SCHOOL DISTRICT
Schedule of Proportionate Share of the Net Pension Liability-CalPERS
For the Fiscal Year Ended June 30, 2025

Last Ten Fiscal Years

Employer's Fiscal Year	2024-25	2023-24	2022-23	2021-22	2020-21
Measurement Period	2023-24	2022-23	2021-22	2020-21	2019-20
District's proportion of the net pension liability	0.1365%	0.1414%	0.1340%	0.1397%	0.1337%
District's proportionate share of the net pension liability	\$ 48,778,183	\$ 51,200,554	\$ 46,096,436	\$ 28,399,664	\$ 41,032,106
District's covered-employee payroll	\$ 27,044,775	\$ 24,663,212	\$ 20,666,430	\$ 20,107,324	\$ 19,377,902
District's proportionate share of the net pension liability as a percentage of its covered-employee payroll	180.36%	207.60%	223.05%	134.56%	211.75%
Plan fiduciary net position as a percentage of the total pension liability	72%	70%	70%	81%	70%

Employer's Fiscal Year	2019-20	2018-19	2017-18	2016-17	2015-16
Measurement Period	2018-19	2017-18	2016-17	2015-16	2014-15
District's proportion of the net pension liability	0.1336%	0.1351%	0.1315%	0.1252%	0.1187%
District's proportionate share of the net pension liability	\$ 38,926,038	\$ 36,025,444	\$ 31,387,925	\$ 24,727,077	\$ 17,496,497
District's covered-employee payroll	\$ 18,559,816	\$ 18,060,885	\$ 16,773,690	\$ 15,039,035	\$ 13,111,078
District's proportionate share of the net pension liability as a percentage of its covered-employee payroll	209.73%	199.47%	187.13%	164.42%	133.45%
Plan fiduciary net position as a percentage of the total pension liability	70%	71%	72%	74%	79%

VICTOR ELEMENTARY SCHOOL DISTRICT
Schedule of Pension Contributions-CalSTRS
For the Fiscal Year Ended June 30, 2025

Last Ten Fiscal Years

Employer's Fiscal Year	2024-25	2023-24	2022-23	2021-22	2020-21
Contractually required contribution	\$ 15,330,041	\$ 14,706,941	\$ 13,647,581	\$ 10,808,706	\$ 9,427,415
Contributions in relation to the contractually required contribution	15,330,041	14,706,941	13,647,581	10,808,706	9,427,415
Contribution deficiency (excess):	\$ -	\$ -	\$ -	\$ -	\$ -
District's covered-employee payroll	80,261,996	76,999,693	71,453,305	63,881,241	\$ 58,374,088
Contributions as a percentage of covered-employee payroll	19.10%	19.10%	19.10%	16.92%	16.15%

Employer's Fiscal Year	2019-20	2018-19	2017-18	2016-17	2015-16
Contractually required contribution	\$ 10,058,031	\$ 8,870,217	\$ 7,764,771	\$ 6,495,860	\$ 5,114,636
Contributions in relation to the contractually required contribution	10,058,031	8,870,217	7,764,771	6,495,860	5,114,636
Contribution deficiency (excess):	\$ -	\$ -	\$ -	\$ -	\$ -
District's covered-employee payroll	\$ 58,818,895	\$ 54,485,361	\$ 53,809,917	\$ 51,636,407	\$ 47,666,692
Contributions as a percentage of covered-employee payroll	17.10%	16.28%	14.43%	12.58%	10.73%

VICTOR ELEMENTARY SCHOOL DISTRICT
Schedule of Pension Contributions-CalPERS
For the Fiscal Year Ended June 30, 2025

Last Ten Fiscal Years

Employer's Fiscal Year	2024-25	2023-24	2022-23	2021-22	2020-21
Contractually required contribution	\$ 7,666,903	\$ 7,215,546	\$ 6,257,057	\$ 4,734,679	\$ 4,162,216
Contributions in relation to the contractually required contribution	7,666,903	7,215,546	6,257,057	4,734,679	4,162,216
Contribution deficiency (excess):	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
District's covered-employee payroll	\$ 28,343,449	\$ 27,044,775	\$ 24,663,212	\$ 20,666,430	\$ 20,107,324
Contributions as a percentage of covered-employee payroll	27.050%	26.680%	25.370%	22.910%	20.700%

Employer's Fiscal Year	2019-20	2018-19	2017-18	2016-17	2015-16
Contractually required contribution	\$ 3,821,516	\$ 3,352,274	\$ 2,805,036	\$ 2,329,530	\$ 1,785,735
Contributions in relation to the contractually required contribution	3,821,516	3,352,274	2,805,036	2,329,530	1,785,735
Contribution deficiency (excess):	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
District's covered-employee payroll	\$ 19,377,902	\$ 18,559,816	\$ 18,060,885	\$ 16,773,690	\$ 15,039,035
Contributions as a percentage of covered-employee payroll	19.721%	18.062%	15.531%	13.888%	11.874%

VICTOR ELEMENTARY SCHOOL DISTRICT

Schedule of Changes in the District's Total OPEB Liability and Related Ratios For the Fiscal Year Ended June 30, 2025

	Last Ten Fiscal Years*			
Employer's Fiscal Year	2024-25	2023-24	2022-23	2021-22
Measurement Period	2024-25	2023-24	2022-23	2021-22
Total OPEB liability				
Service cost	\$ 3,577,779	\$ 3,649,863	\$ 3,152,923	\$ 3,859,422
Interest	2,350,589	2,125,350	2,161,486	1,435,226
Differences between expected and actual experience	2,258,515	-	(5,514,996)	-
Changes of assumptions or other inputs	(25,069,761)	(1,313,399)	274,549	(6,759,287)
Benefit payments	(2,893,599)	(2,792,627)	(3,512,539)	(3,625,118)
Net change in total OPEB liability	(19,776,477)	1,669,187	(3,438,577)	(5,089,757)
Total OPEB liability - beginning	59,469,343	57,800,156	61,238,733	66,328,490
Total OPEB liability - ending	\$ 39,692,866	\$ 59,469,343	\$ 57,800,156	\$ 61,238,733
Covered payroll	\$ 85,383,761	\$ 83,098,550	\$ 80,874,502	\$ 78,709,977
Total OPEB liability as a percentage of covered payroll	46.49%	71.56%	71.47%	77.80%
Employer's Fiscal Year	2020-21	2019-20	2018-19	2017-18
Measurement Period	2020-21	2019-20	2018-19	2017-18
Total OPEB liability				
Service cost	\$ 3,673,257	\$ 3,968,990	\$ 3,675,536	\$ 3,577,164
Interest	1,191,285	1,740,890	1,595,166	1,615,188
Differences between expected and actual experience	10,083,190	(1,004,332)	-	-
Changes of assumptions or other inputs	180,919	2,134,108	1,046,952	-
Benefit payments	(2,225,723)	(2,338,654)	(2,263,013)	(2,175,974)
Net change in total OPEB liability	12,902,928	4,501,002	4,054,641	3,016,378
Total OPEB liability - beginning	53,425,562	48,924,560	44,869,919	41,853,541
Total OPEB liability - ending	\$ 66,328,490	\$ 53,425,562	\$ 48,924,560	\$ 44,869,919
Covered payroll	\$ 76,603,384	\$ 74,553,172	\$ 72,557,832	\$ 70,615,895
Total OPEB liability as a percentage of covered payroll	86.59%	71.66%	67.43%	63.54%

* This schedule is required to show information for ten years; however, until a full ten year trend is compiled, information is presented for those years for which information is available.

VICTOR ELEMENTARY SCHOOL DISTRICT*Schedule of the District's Proportionate Share of the Net OPEB Liability – MPP Program
For the Fiscal Year Ended June 30, 2025*

Last Ten Fiscal Years*

Employer's Fiscal Year Measurement Period	2024-25 2023-24	2023-24 2022-23	2022-23 2021-22	2021-22 2020-21
District's proportion of net OPEB liability	0.1684%	0.1705%	0.1624%	0.1552%
District's proportionate share of net OPEB liability	\$ 448,951	\$ 517,253	\$ 534,820	\$ 619,174
Covered-employee payroll	N/A	N/A	N/A	N/A
District's net OPEB liability as a percentage of covered-employee payroll	N/A	N/A	N/A	N/A
Plan fiduciary net position as a percentage of the total OPEB liability	(1.02%)	(0.96%)	(0.94%)	(0.80%)

Employer's Fiscal Year Measurement Period	2020-21 2019-20	2019-20 2018-19	2018-19 2017-18	2017-18 2016-17
District's proportion of net OPEB liability	0.1692%	0.1605%	0.1546%	0.1544%
District's proportionate share of net OPEB liability	\$ 717,160	\$ 597,760	\$ 591,737	\$ 649,521
Covered-employee payroll	N/A	N/A	N/A	N/A
District's net OPEB liability as a percentage of covered-employee payroll	N/A	N/A	N/A	N/A
Plan fiduciary net position as a percentage of the total OPEB liability	(0.71%)	(0.81%)	0.40%	0.01%

* This schedule is required to show information for ten years; however, until a full ten year trend is compiled, information is presented for those years for which information is available.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to the Required Supplementary Information For the Fiscal Year Ended June 30, 2025

NOTE 1 – PURPOSE OF SCHEDULES

Budgetary Comparison Schedule

The District employs budget control by object codes and by individual appropriation accounts. Budgets are prepared on the modified accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America as prescribed by the *Governmental Accounting Standards Board* and provisions of the *California Education Code*. The governing board is required to hold a public hearing and adopt an operating budget no later than July 1 of each year. The adopted budget is subject to amendment throughout the year to give consideration to unanticipated revenue and expenditures primarily resulting from events unknown at the time of budget adoptions with the legal restriction that expenditures cannot exceed appropriations by major object account.

The amounts reported as the original budgeted amounts in the budgetary statements reflect the amounts when the original appropriations were adopted. The amounts reported as the final budgeted amounts in the budgetary statements reflect the amounts after all budget amendments have been accounted for.

This schedule presents information for the original and final budgets and actual results of operations, as well as the variances from the final budget to actual results of operations.

Schedule of the District's Proportionate Share of the Net Pension Liability

This schedule presents information on the District's proportionate share of the net pension liability (NPL), the plans' fiduciary net position and, when applicable, the State's proportionate share of the NPL associated with the District.

Change in benefit terms – There were no changes in benefit terms since the previous valuations for either CalSTRS and CalPERS.

Change of assumptions – There were no changes in economic assumptions since the previous valuations for either CalSTRS or CalPERS.

Schedule of District Contributions

This schedule presents information on the District's required contribution, the amounts actually contributed, and any excess or deficiency related to the required contribution.

Schedule of Changes in the District's Total OPEB Liability and Related Ratios

This schedule presents information on the District's changes in the total OPEB liability, including beginning and ending balances, and the total OPEB liability. In the future, as data becomes available, ten years of information will be presented.

Change in benefit terms – There were no changes in benefit terms since the previous valuation.

Change of assumptions – Liability changes resulting from changes in economic and demographic assumptions are deferred based on the average working life. The discount rate was changed from 3.93 percent to 5.20 percent since the previous valuation.

VICTOR ELEMENTARY SCHOOL DISTRICT

Notes to the Required Supplementary Information

For the Fiscal Year Ended June 30, 2025

NOTE 1 – PURPOSE OF SCHEDULES (continued)

Schedule of the District's Proportionate Share of the Net OPEB Liability – MPP Program

This schedule presents information on the District's proportionate share of the net OPEB liability – MPP Program and the plans' fiduciary net position. In the future, as data becomes available, ten years of information will be presented.

Change in benefit terms – There were no changes in benefit terms since the previous valuation.

Change of assumptions – The discount rate was changed from 3.65 percent to 3.93 percent since the previous valuation.

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Supplementary Information

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VICTOR ELEMENTARY SCHOOL DISTRICT
Combining Balance Sheet – Non-Major Governmental Funds
June 30, 2025

	Charter School Fund	Cafeteria Fund	Deferred Maintenance Fund	Capital Facilities Fund	Capital Projects Fund for Blended Component Units	Bond Interest and Redemption Fund	Total Non-Major Governmental Funds
ASSETS							
Deposits and investments	\$ 9,099,586	\$ 9,803,349	\$ 2,727,098	\$ 4,386,052	\$ 2,731,268	\$ 7,029,159	\$ 35,776,512
Accounts receivable	248,455	1,892,654	30,564	75,036	23,156	-	2,269,865
Due from other funds	-	706,713	-	195,742	-	-	902,455
Stores inventories	-	227,205	-	-	-	-	227,205
Total Assets	<u>\$ 9,348,041</u>	<u>\$ 12,629,921</u>	<u>\$ 2,757,662</u>	<u>\$ 4,656,830</u>	<u>\$ 2,754,424</u>	<u>\$ 7,029,159</u>	<u>\$ 39,176,037</u>
LIABILITIES AND FUND BALANCES							
Liabilities							
Accounts payable	\$ 978,629	\$ 176,852	\$ -	\$ 38,953	\$ -	\$ -	\$ 1,194,434
Due to other funds	448,932	491,826	-	-	-	-	940,758
Total Liabilities	<u>1,427,561</u>	<u>668,678</u>	<u>-</u>	<u>38,953</u>	<u>-</u>	<u>-</u>	<u>2,135,192</u>
Fund Balances							
Nonspendable	-	237,205	-	-	-	-	237,205
Restricted	1,343,532	11,724,038	-	4,617,877	2,754,424	7,029,159	27,469,030
Committed	-	-	2,757,662	-	-	-	2,757,662
Assigned	6,576,948	-	-	-	-	-	6,576,948
Total Fund Balances	<u>7,920,480</u>	<u>11,961,243</u>	<u>2,757,662</u>	<u>4,617,877</u>	<u>2,754,424</u>	<u>7,029,159</u>	<u>37,040,845</u>
Total Liabilities and Fund Balances	<u>\$ 9,348,041</u>	<u>\$ 12,629,921</u>	<u>\$ 2,757,662</u>	<u>\$ 4,656,830</u>	<u>\$ 2,754,424</u>	<u>\$ 7,029,159</u>	<u>\$ 39,176,037</u>

See accompanying note to required supplementary information.

VICTOR ELEMENTARY SCHOOL DISTRICT

Combining Statement of Revenues, Expenditures, and Changes in Fund Balances – Non-Major Governmental Funds For the Fiscal Year Ended June 30, 2025

	Charter School Fund	Cafeteria Fund	Deferred Maintenance Fund	Capital Facilities Fund	Capital Projects Fund for Blended Component Units	Bond Interest and Redemption Fund	Total Non-Major Governmental Funds
REVENUES							
LCFF sources	\$ 5,733,216	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 5,733,216
Federal sources	53,915	10,233,348	-	-	-	-	10,287,263
Other state sources	1,333,218	2,517,581	-	-	-	33,849	3,884,648
Other local sources	522,335	457,002	152,744	598,066	851,482	6,258,100	8,839,729
Total Revenues	7,642,684	13,207,931	152,744	598,066	851,482	6,291,949	28,744,856
EXPENDITURES							
Current:							
Instruction	6,540,870	-	-	-	-	-	6,540,870
Food services	10,422	10,537,006	-	-	-	-	10,547,428
All other pupil services	463,564	-	-	-	-	-	463,564
Transfers of indirect costs	-	275,995	-	-	-	-	275,995
Plant services	604,366	277,328	-	-	-	-	881,694
Capital outlay	166,921	-	-	26,738	555,321	-	748,980
Intergovernmental transfers	36,555	-	-	-	-	-	36,555
Debt service:							
Principal	-	-	-	-	-	1,766,131	1,766,131
Interest	-	-	-	-	-	4,154,344	4,154,344
Total Expenditures	7,822,698	11,090,329	-	26,738	555,321	5,920,475	25,415,561
Excess (Deficiency) of Revenues Over (Under) Expenditures	(180,014)	2,117,602	152,744	571,328	296,161	371,474	3,329,295
Net Change in Fund Balances	(180,014)	2,117,602	152,744	571,328	296,161	371,474	3,329,295
Fund Balances, July 1, 2024	8,100,494	9,843,641	2,604,918	4,046,549	2,458,263	6,657,685	33,711,550
Fund Balances, June 30, 2025	\$ 7,920,480	\$ 11,961,243	\$ 2,757,662	\$ 4,617,877	\$ 2,754,424	\$ 7,029,159	\$ 37,040,845

See accompanying note to required supplementary information.

VICTOR ELEMENTARY SCHOOL DISTRICT

*Schedules of Average Daily Attendance
For the Fiscal Year Ended June 30, 2025*

VICTOR ELEMENTARY SCHOOL DISTRICT		
	Second Period Report	Annual Report
Regular & Extended Year ADA:		
TK/Grades K-3	6,136.70	6,137.38
Grades 4-6	4,797.42	4,785.53
Total Regular ADA	10,934.12	10,922.91
Special Education - Nonpublic, Nonsectarian Schools		
TK/Grades K-3	1.12	1.81
Grades 4-6	4.60	4.68
Total Special Education - Nonpublic, Nonsectarian Schools ADA	5.72	6.49
Total District ADA	10,939.84	10,929.40

MOUNTAIN VIEW MONTESSORI CHARTER SCHOOL				
	Second Period Report		Annual Report	
	Classroom - Based	Total Regular ADA	Classroom - Based	Total Regular ADA
Regular & Extended Year ADA:				
TK/Grades K-3	144.87	145.10	144.49	144.67
Grades 4-6	72.89	73.18	73.09	73.32
Total ADA	217.76	218.28	217.58	217.99

SIXTH STREET PREP CHARTER SCHOOL				
	Second Period Report		Annual Report	
	Classroom - Based	Total Regular ADA	Classroom - Based	Total Regular ADA
Regular & Extended Year ADA:				
TK/Grades K-3	131.85	134.75	131.95	134.59
Grades 4-6	85.16	86.89	85.02	86.52
Total ADA	217.01	221.64	216.97	221.11

VICTOR ELEMENTARY SCHOOL DISTRICT*Schedules of Instructional Time**For the Fiscal Year Ended June 30, 2025*

VICTOR ELEMENTARY SCHOOL DISTRICT

Grade Level	Instructional Minutes Requirement	Instructional Minutes Offered	Instructional Days Offered	Status
Transitional Kindergarten/ Kindergarten	36,000	36,180	180	Complied
Grade 1	50,400	54,135	180	Complied
Grade 2	50,400	54,135	180	Complied
Grade 3	50,400	54,135	180	Complied
Grade 4	54,000	54,135	180	Complied
Grade 5	54,000	54,135	180	Complied
Grade 6	54,000	54,135	180	Complied

MOUNTAIN VIEW MONTESSORI CHARTER SCHOOL

Grade Level	Instructional Minutes Requirement	Instructional Minutes Offered	Instructional Days Offered	Status
Transitional Kindergarten/ Kindergarten	36,000	41,420	178	Complied
Grade 1	50,400	57,600	178	Complied
Grade 2	50,400	57,600	178	Complied
Grade 3	50,400	57,600	178	Complied
Grade 4	54,000	57,600	178	Complied
Grade 5	54,000	57,600	178	Complied
Grade 6	54,000	57,600	178	Complied

SIXTH STREET PREP SCHOOL

Grade Level	Instructional Minutes Requirement	Instructional Minutes Offered	Instructional Days Offered	Status
Transitional Kindergarten/ Kindergarten	36,000	55,485	178	Complied
Grade 1	50,400	54,135	178	Complied
Grade 2	50,400	54,135	178	Complied
Grade 3	50,400	54,135	178	Complied
Grade 4	54,000	54,135	178	Complied
Grade 5	54,000	54,135	178	Complied
Grade 6	54,000	54,135	178	Complied

VICTOR ELEMENTARY SCHOOL DISTRICT*Schedule of Financial Trends and Analysis**For the Fiscal Year Ended June 30, 2025*

General Fund	(Budget) 2026 ³	2025 ²	2024	2023
Revenues and other financing sources	\$ 244,125,348	\$ 247,195,654	\$ 276,679,432	\$ 256,406,915
Expenditures	260,361,330	251,062,985	261,521,295	200,060,678
Other uses and transfers out	-	-	20,066,343	2,500,000
Total outgo	260,361,330	251,062,985	281,587,638	202,560,678
Change in fund balance (deficit)	(16,235,982)	(3,867,331)	(4,908,206)	53,846,237
Ending fund balance	\$ 105,998,447	\$ 122,234,429	\$ 126,101,760	\$ 131,009,966
Available reserves ¹	\$ 18,001,346	\$ 20,425,965	\$ 29,804,740	\$ 29,367,901
Available reserves as a percentage of total outgo	6.9%	8.1%	10.6%	14.5%
Total long-term debt	\$ 240,445,344	\$ 250,943,315	\$ 285,980,482	\$ 255,049,369
Average daily attendance at P-2	11,031	10,940	10,970	10,857

The General Fund balance has decreased by \$8.8 million over the past two years. The fiscal year 2025-26 adopted budget projects a decrease of \$16.2 million. For a district of this size, the state recommends available reserves of at least 3% of total general fund expenditures, transfers out, and other uses (total outgo).

The District has incurred an operating deficit in two of the past three years and anticipates incurring one during the 2025-26 fiscal year. Long-term debt has decreased by \$4.1 million over the past two years.

Average daily attendance has increased by 83 over the past two years. ADA is projected to increase by 91 in 2025-26.

¹ Available reserves consist of all unassigned fund balances in the General Fund.

² The actual amounts reported in this schedule are for the General Fund only, and do not agree with the amounts reported on the Statement of Revenues, Expenditures, and Changes in Fund Balances because the amounts on that schedule include the financial activity of the Special Reserve Fund for Postemployment Benefits, in accordance with the fund type definitions promulgated by GASB Statement No. 54.

³ As of September, 2025.

VICTOR ELEMENTARY SCHOOL DISTRICT

*Reconciliation of Annual Financial and Budget Report with Audited Financial Statements
For the Fiscal Year Ended June 30, 2025*

*There were no differences between the Annual Financial and Budget Report and the
Audited Financial Statements in any funds.*

VICTOR ELEMENTARY SCHOOL DISTRICT

Schedule of Charter Schools

For the Fiscal Year Ended June 30, 2025

<u>Charter School</u>	<u>Inclusion in Financial Statements</u>
Mountain View Montessori Charter School (No. 0296)	Included
Sixth Street Prep School (No. 0309)	Included

VICTOR ELEMENTARY SCHOOL DISTRICT
Schedule of Expenditures of Federal Awards
For the Fiscal Year Ended June 30, 2025

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	Federal Assistance Listing Number	Pass-Through Entity Identifying Number	Sub-total Expenditures	Federal Expenditures
Federal Programs:				
U.S. Department of Agriculture:				
Passed through California Dept. of Education (CDE):				
Child Nutrition Cluster:				
School Breakfast Program - Especially Needy	10.553	13526	\$ 1,779,751	
National School Lunch Program	10.555	13523	7,706,795	
USDA Donated Foods	10.555	N/A	<u>746,802</u>	
Total Child Nutrition Cluster				\$ 10,233,348
Passed through the San Bernardino County office of Education:				
Forest Service Schools and Roads Cluster	10.665	10044		<u>1,263</u>
Total U.S. Department of Agriculture				<u>10,234,611</u>
U.S. Department of Education:				
Passed through California Dept. of Education (CDE):				
Every Student Succeeds Act (ESSA):				
Title I, Part A, Basic Grants Low-Income and Neglected	84.010	14329	5,440,173	
School Improvement Funding for LEAs	84.010	15438	<u>581,956</u>	
Total Title I Grants				6,022,129
Title II, Part A, Supporting Effective Instruction State Grant	84.367	14341		354,299
Title III, Limited English Proficiency	84.365	14346		216,600
Title IV, Part A, Student Support and Academic Enrichment Grants	84.424	15396		390,637
COVID-19 Education Stabilization Fund:				
American Rescue Plan - Homeless Children and Youth II (ARP HCY II)	84.425	15566		192,974
Individuals with Disabilities Education Act (IDEA):				
Special Education Cluster (IDEA):				
Passed through Desert/Mountain SELPA:				
Local Assistance Entitlement	84.027	13379	2,088,496	
IDEA Preschool Grants, Part B, Section 619 (Age 3-4-5)	84.173	13430	45,923	
IDEA Local Assistance, Part B, Sec. 611, Private School ISPs	84.027	10115	8,372	
IDEA Preschool Grants, Part B, Sec 619, Private School ISPs	84.173A	10116	330	
IDEA Mental Health Allocation Plan, Part B, Sec 611	84.027A	15197	<u>288,337</u>	
Total Special Education (IDEA) Cluster				<u>2,431,458</u>
Total U.S. Department of Education				<u>9,608,097</u>
Total Expenditures of Federal Awards				<u>\$ 19,842,708</u>

Of the Federal expenditures presented in the schedule, the District provided no Federal awards to subrecipients.

VICTOR ELEMENTARY SCHOOL DISTRICT

Note to the Supplementary Information

June 30, 2025

NOTE 1 – PURPOSE OF SCHEDULES

Combining Financial Statements

These financial statements report the financial activity of the individual non-major funds.

Schedule of Average Daily Attendance (ADA)

Average daily attendance (ADA) is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of State funds are made to school districts. This schedule provides information regarding the attendance of students at various grade levels and in different programs.

Schedule of Instructional Time

This schedule presents information on the number of instructional days offered by the District and whether the District complied with Article 8 (commencing with Section 46200) of Chapter 2 Part 26 of the *Education Code*.

Schedule of Financial Trends and Analysis

This schedule discloses the District's financial trends by displaying past years' data along with current year budget information. These financial trend disclosures are used to evaluate the District's ability to continue as a going concern for a reasonable period of time.

Reconciliation of Annual Financial and Budget Report with Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Unaudited Actual financial report to the audited financial statements.

Schedule of Charter Schools

This schedule lists all charter schools chartered by the District and displays information for each charter school and whether or not the charter school is included in the District audit.

Schedule of Expenditures of Federal Awards

The schedule of expenditures of Federal awards includes the Federal grant activity of the District and is presented on the modified accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of the Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of the financial statements. The District did not elect to use the ten percent de minimis indirect cost rate.

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Other Information

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VICTOR ELEMENTARY SCHOOL DISTRICT

Local Educational Agency Organization Structure

June 30, 2025

The Victor Elementary School District was established as a separate school district in 1947. The District encompasses approximately 43 square miles in some unincorporated areas of San Bernardino County as well as the city of Victorville. During the year, the District operated sixteen elementary schools (kindergarten through grade 6) and two charter schools. There were no changes to District boundaries during the year.

BOARD OF TRUSTEES		
Member	Office	Term Expires
Sue Brannon	President	November, 2028
Allen Williams	Vice President	November, 2026
Dr. Gary Elder	Clerk	November, 2026
Clayton Moore	Trustee	November, 2026
Dr. Gabriel Luis Stine	Trustee	November, 2028

DISTRICT ADMINISTRATORS

Lori Clark,
Superintendent

Fortune Barles,
Assistant Superintendent, Educational Services

Collin Rowe,
Assistant Superintendent, Administrative Services

Tanya Benitez, Ed.D.,
Assistant Superintendent, Pupil Services

Maureen Mills,
Assistant Superintendent, Personnel Services

Other Independent Auditors' Reports

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**INDEPENDENT AUDITORS' REPORT ON INTERNAL CONTROL OVER FINANCIAL
REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN
AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE
WITH *GOVERNMENT AUDITING STANDARDS***

Board of Trustees
Victor Elementary School District
Victorville, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Victor Elementary School District as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated December 9, 2025.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

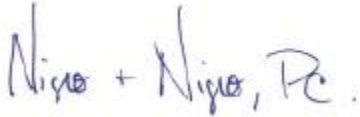
Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.



Murrieta, California
December 9, 2025



**INDEPENDENT AUDITORS' REPORT ON COMPLIANCE FOR
EACH MAJOR FEDERAL PROGRAM AND REPORT ON INTERNAL CONTROL
OVER COMPLIANCE REQUIRED BY THE UNIFORM GUIDANCE**

Board of Trustees
Victor Elementary School District
Victorville, California

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited the Victor Elementary School District's compliance with the types of compliance requirements identified as subject to audit in the OMB *Compliance Supplement* that could have a direct and material effect on each of the Victor Elementary School District's major federal programs for the year ended June 30, 2025. The Victor Elementary School District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the Victor Elementary School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2025.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America, the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the Victor Elementary School District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the Victor Elementary School District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the Victor Elementary School District's federal program.

Auditors' Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the Victor Elementary School District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards, Government Auditing Standards, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the Victor Elementary School District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with generally accepted auditing standards, Government Auditing Standards, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the Victor Elementary School District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the Victor Elementary School District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the Victor Elementary School District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Nigro + Nigro, PC

Murrieta, California
December 9, 2025



INDEPENDENT AUDITORS' REPORT ON STATE COMPLIANCE AND ON INTERNAL CONTROL OVER COMPLIANCE

Board of Trustees
Victor Elementary School District
Victorville, California

Report on Compliance

Opinion

We have audited the Victor Elementary School District's (District) compliance with the requirements specified in the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* applicable to the District's state program requirements identified below for the year ended June 30, 2025.

In our opinion, Victor Elementary School District complied in all material aspects, with the laws and regulations of the state programs noted in the table below for the year ended June 30, 2025.

Basis for Opinion

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS), the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, and the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above, and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the Victor Elementary School District's state programs.

Auditors' Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* will always detect a material noncompliance when it exists. The risk of not detecting a material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of the state programs as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards* and the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit;
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we consider necessary in the circumstances;
- Obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, but not for the purpose of expressing an opinion on the effectiveness of the District's internal controls over compliance. Accordingly, we express no such opinion; and
- Select and test transactions and records to determine the District's compliance with the state laws and regulations applicable to the following items:

Description	Procedures Performed
Local Education Agencies Other Than Charter Schools:	
Attendance	Yes
Teacher Certification and Misassignments	Yes
Independent Study	Yes
Continuation Education	Not Applicable
Instructional Time	Yes
Instructional Materials	Yes
Ratio of Administrative Employees to Teachers	Yes
Classroom Teacher Salaries	Yes
Early Retirement Incentive	Not Applicable
Gann Limit Calculation	Yes
School Accountability Report Card	Yes
Juvenile Court Schools	Not Applicable
Middle or Early College High Schools	Not Applicable
K-3 Grade Span Adjustment	Yes
Apprenticeship: Related and Supplemental Instruction	Not Applicable
Comprehensive School Safety Plan	Yes
District of Choice	Not Applicable
Home to School Transportation Reimbursement	Yes

Description	Procedures Performed
School Districts, County Offices of Education, and Charter Schools:	
Proposition 28 Arts and Music in Schools	Yes
After/Before School Education and Safety Program	Yes
Proper Expenditure of Education Protection Account Funds	Yes
Unduplicated Local Control Funding Formula Pupil Counts	Yes
Local Control and Accountability Plan	Yes
Independent Study – Course Based	Not Applicable
Immunizations	Yes
Educator Effectiveness	Yes
Expanded Learning Opportunities Grant (ELO-G)	Yes
Career Technical Education Incentive Grant	Not Applicable
Expanded Learning Opportunities Program	Yes
Transitional Kindergarten	Yes
Kindergarten Continuance	Yes
Charter Schools:	
Attendance	Yes
Mode of Instruction	Yes
Nonclassroom-Based Instruction/Independent Study	Yes
Determination of Funding for Nonclassroom-Based Instruction	Yes
Annual Instructional Minutes – Classroom-Based	Yes
Charter School Facility Grant Program	Not Applicable

Areas marked as “Not Applicable” were not operated by the District.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identify in the audit.

Other Matters

The results of our auditing procedures disclosed instances of noncompliance, which are described in the accompanying schedule of findings and questioned costs as Findings 2025-001 and 2025-002. Our opinion on each state program is not modified with respect to these matters.

Government Auditing Standards requires the auditor to perform limited procedures on the District’s response to the noncompliance findings identified in our audit and described in the accompanying schedule of findings and questioned costs. The District’s response was not subjected to the auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

Report on Internal Control over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that a material noncompliance with a compliance requirement will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention from those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor’s Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit, we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the *2024-25 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Accordingly, this report is not suitable for any other purpose.

Nigro + Nigro, PC.

Murrieta, California
December 9, 2025

Schedule of Findings and Questioned Costs

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VICTOR ELEMENTARY SCHOOL DISTRICT

Summary of Auditors' Results

For the Fiscal Year Ended June 30, 2025

Financial Statements

Type of auditors' report issued	<u>Unmodified</u>
Internal control over financial reporting:	
Material weakness(es) identified?	<u>No</u>
Significant deficiency(s) identified not considered to be material weaknesses?	<u>None reported</u>
Noncompliance material to financial statements noted?	<u>No</u>

Federal Awards

Internal control over major programs:	
Material weakness(es) identified?	<u>No</u>
Significant deficiency(s) identified not considered to be material weaknesses?	<u>None reported</u>
Type of auditors' report issued on compliance for major programs:	<u>Unmodified</u>
Any audit findings disclosed that are required to be reported in accordance with the Uniform Guidance, Section 200.516 (a)?	<u>No</u>
Identification of major programs:	
<u>Assistance Listing Numbers</u>	<u>Name of Federal Program or Cluster</u>
10.553, 10.555	Child Nutrition Cluster
Dollar threshold used to distinguish between Type A and Type B programs:	<u>\$ 750,000</u>
Auditee qualified as low-risk auditee?	<u>Yes</u>

State Awards

Type of auditors' report issued on compliance for state programs:	<u>Unmodified</u>
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VICTOR ELEMENTARY SCHOOL DISTRICT

Financial Statement Findings

For the Fiscal Year Ended June 30, 2025

This section identifies the significant deficiencies, material weaknesses, and instances of noncompliance related to the financial statements that are required to be reported in accordance with *Government Auditing Standards*. Pursuant to Assembly Bill (AB) 3627, all audit findings must be identified as one or more of the following categories:

<u>Five Digit Code</u>	<u>AB 3627 Finding Types</u>
10000	Attendance
20000	Inventory of Equipment
30000	Internal Control
40000	State Compliance
42000	Charter School Facilities Programs
43000	Apprenticeship: Related and Supplemental Instruction
50000	Federal Compliance
60000	Miscellaneous
61000	Classroom Teacher Salaries
62000	Local Control Accountability Plan
70000	Instructional Materials
71000	Teacher Misassignments
72000	School Accountability Report Card

There were no financial statement findings in 2024-25.

VICTOR ELEMENTARY SCHOOL DISTRICT

Federal Award Findings and Questioned Costs

For the Fiscal Year Ended June 30, 2025

This section identifies the audit findings required to be reported by the Uniform Guidance, Section 200.516 (e.g., significant deficiencies, material weaknesses, and instances of noncompliance, including questioned costs).

There were no federal award findings or questioned costs in 2024-25.

VICTOR ELEMENTARY SCHOOL DISTRICT

State Award Findings and Questioned Costs For the Fiscal Year Ended June 30, 2025

This section identifies the audit findings pertaining to noncompliance with state program rules and regulations.

Finding 2025-001: Attendance (10000)

Repeat Finding? No

Criteria: California Education Code section 46000 states that attendance in all schools and classes shall be recorded and kept according to regulations prescribed by the State Board of Education. Good internal controls require the District & Charters to review its pupil attendance reporting processes and ensure that attendance policies and procedures are maintained and followed at all school sites.

Condition: During our review of ADA totals reported by Mt. View Montessori Charter School to CDE, we noted the following misstatements:

P2 Attendance Reporting

- The Charter understated Classroom based ADA for students in transitional kindergarten (Line E-1) by .05.

Context: The reporting error was noted only at Mountain View Montessori Charter School.

Cause: The Charter filed a J-13A for a material decrease in ADA, which was approved by the CDE. They correctly added the additional ADA to their regular ADA totals for classroom-based ADA (Line B-1) and nonclassroom-based ADA (Line C-1); however, the additional ADA was not added to the supplemental line for TK (Line E-1).

Effect: There is no financial penalty associated with noncompliance as line E-1 is supplemental.

Recommendation: We recommend that the District develop policies and procedures and implement controls to ensure that pupil attendance is recorded and reported consistently and accurately.

Views of Responsible Officials: An external spreadsheet is utilized to reconcile attendance data to CALPADS reports. This spreadsheet does include J-13A waiver approved ADA. To ensure that this oversight does not occur in the future, all CALPADS reports will be reconciled and reviewed by a peer prior to final approval and review by the Director.

Finding 2025-002: Expanded Learning Opportunities Program (40000)

Repeat Finding? Yes

Criteria: California Education Code Section 46120(b)(2)(D) states that the administrator shall ensure that the program maintains a pupil-to-staff member ratio of no more than 20 to 1, except programs serving transitional kindergarten or kindergarten pupils shall maintain a pupil-to-staff member ratio of no more than 10 to 1.

Condition: It was noted that out of the six sites we tested, four were out of compliance with the pupil-to-staff ratio.

VICTOR ELEMENTARY SCHOOL DISTRICT

State Award Findings and Questioned Costs

For the Fiscal Year Ended June 30, 2025

Finding 2025-002: Expanded Learning Opportunities Program (40000)(continued)

Context: Challenger, Endeavor, Galileo, and Mojave Vista all had groups that were out of compliance with the 20 to 1 ratio. Mojave Vista was out of compliance with the 10 to 1 ratio in 2 groups.

Cause: The District partnered with third party companies that ran these programs and did not monitor ratio compliance properly.

Effect: There is no financial penalty associated with noncompliance.

Recommendation: We recommend that the District ensure that every group at each site operating the expanded learning opportunities program is properly staffed to meet the required ratios.

Views of Responsible Officials: Following the 2024-002 finding, corrective actions and collaboration took place with both ELOP providers. An SOP was developed to address internal audit, ensuring ongoing compliance and documentation of accurate adult to student ratios as required by ELOP statutes. Internal testing is performed three times a year to review provider attendance sheets. Any anomalies are reported immediately to the District ELOP Coordinator. After these measures were put into place, we saw significant improvement in tracking of adult to student ratios and believe the remainder of the fiscal year demonstrated strong compliance.

VICTOR ELEMENTARY SCHOOL DISTRICT

Summary Schedule of Prior Audit Findings

For the Fiscal Year Ended June 30, 2025

Original Finding No.	Finding	Code	Recommendation	Current Status
<i>Finding 2024-001: Immunizations</i>	Title 17, California Code of Regulations section 6025 requires that that each kindergarten pupil have two doses of a varicella vaccine and two doses of a measles vaccine prior to admission or have a current medical exemption from varicella and measles immunization on file. One kindergarten student was found that did not receive their second dose of both vaccines within four calendar months.	40000	The District needs to assign appropriate staff familiar with the immunization requirements to ensure that every student in kindergarten meet all of the requirements prior to enrolling.	Implemented.
<i>Finding 2024-002: Expanded Learning Opportunities Program</i>	California Education Code Section 46120(b)(2)(D) states that the administrator shall ensure that the program maintains a pupil-to-staff member ratio of no more than 20 to 1, except programs serving transitional kindergarten or kindergarten pupils shall maintain a pupil-to-staff member ratio of no more than 10 to 1. It was noted that out of the six sites we tested, five were out of compliance with the pupil-to-staff ratio.	40000	We recommend that the District ensure that every group at each site operating the expanded learning opportunities program is properly staffed to meet the required ratios.	Not Implemented. See finding 2025-002.